

Global Economic Outlook & Strategy

Renewed Uncertainties—But Continued Resilience



CITI'S TAKE

The global economy has absorbed a significant shock with the higher oil prices that have followed the Iran conflict and the closure of the Strait of Hormuz. While the resulting pressures and uncertainties have taken a bite out of performance, the pain to date has remained manageable and the global economy has shown continued resilience. Notably, our forecast for global growth this year continues to run near 2½%, which is down only a couple of tenths from when the year began. This observation leaves us correspondingly more sanguine about the prospects for the remainder of the year, even if pressures in oil markets linger. The reality is that the global economy is less dependent on oil than in previous decades. In addition, only part of last year's sizable accumulation of petroleum inventories has been reversed, and global inventory levels generally remain ample.

A range of scenarios for oil prices remain in play—If shipments through the Strait resume, oil prices could plausibly fall back to \$70/barrel. However, if the tensions return in a more sustained way, oil prices above \$100/barrel are possible. With the November midterms fast approaching, President Trump looks to prefer a path of de-escalation, at least to the extent that Iran is willing to negotiate and follow through on its agreements. Accordingly, our baseline forecast continues to envision lower oil prices.

Surging AI spending is supporting global growth this year—By our reckoning, US AI investment has increased from just under \$300 billion last year (1% of GDP) to \$430 billion in Q1. Industry estimates for the entirety of this year see investment surging to \$600 billion. AI spending is also supporting activity in other economies, including China, Taiwan, Korea, Japan, and Singapore.

Our forecast for global headline inflation is up ¾ ppt from February—This reflects the direct effects of higher oil prices, as well as indirect pressures from supply-chain disruptions, increased transportation costs, and lingering second-round effects. At the country level, our forecasts for a range of economies including the US, euro area, Vietnam, and Brazil have been raised a full percentage point, while the mark-ups for Thailand and the Philippines are significantly larger.

Central banks have shifted to less accommodative policy stances—Across our panel of 27 major central banks, we now expect that twelve will be hiking this year, and another seven will be on hold. Of the eight projected cutters, six of them will be easing by 50 bp or less. Only Brazil and Hungary are slated to see more appreciable cuts.

Global resilience is a recurrent theme in our work—In recent years, the global economy has shown a remarkable capacity to shake off shocks and maintain solid growth. We think that this reflects increased flexibility and adaptability on the supply-side of the economy, perhaps driven by technological innovations that allow broad access to information and real-time communication.

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Next Issue: 20 August

Contents

Renewed Uncertainties—But Continued Resilience	3
Global Central Banks	6
Select Economy Discussion	13
North America	13
United States	13
Canada	14
Euro Area	15
Germany	16
France	16
Italy	16
Spain	17
United Kingdom	17
Scandi	19
Sweden	19
Norway	19
Japan	19
Australia & New Zealand	21
Australia	21
New Zealand	21
China	22
India	23
South Korea & Indonesia	24
Hong Kong, Singapore & Taiwan	25
Czech Republic, Hungary & Poland	26
Turkey	28
Egypt, Saudi Arabia & South Africa	28
Brazil & Mexico	30
Argentina, Chile & Colombia	31
Global Equity Strategy	33
Developed Markets Rates Strategy	34
US Rates	34
Euro rates and EGB spreads	34
UK	35
Japan	35
Commodities	36
Global Foreign Exchange Outlook	38
Appendix A-1	40

Renewed Uncertainties—But Continued Resilience

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Tensions between the United States and Iran continue to cast a long shadow over the global oil market. Only few weeks ago, oil prices were approaching \$70/barrel and shipments through the Strait of Hormuz looked to be normalizing (Figure 1). More recently, however, the conflict has resurged, and oil prices have jumped back up. This week, Brent prices have moved above \$90/barrel, and market participants are on heightened alert as they await further news from the region.

Clearly, a range of scenarios for oil prices remain in play. If the United States and Iran resume negotiations—and shipments through the Strait resume—we could see oil prices fall back to \$70/barrel. However, if the tensions return in a more sustained way, oil prices stubbornly above \$100/barrel are also possible. With the November midterms fast approaching, our view is that President Trump prefers a path of de-escalation, at least to the extent that Iran is willing to negotiate and follow through on its agreements. Accordingly, our baseline forecast calls for lower oil prices. But for now, this key source of uncertainty persists.

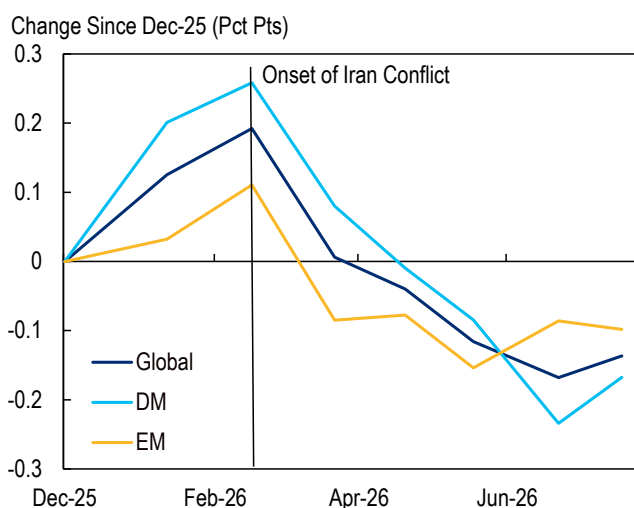
Figure 1. Brent Oil Prices (2026)



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Source: Citi Research, Bloomberg

Figure 2. 2026 Global Growth Revisions (Citi Forecasts)

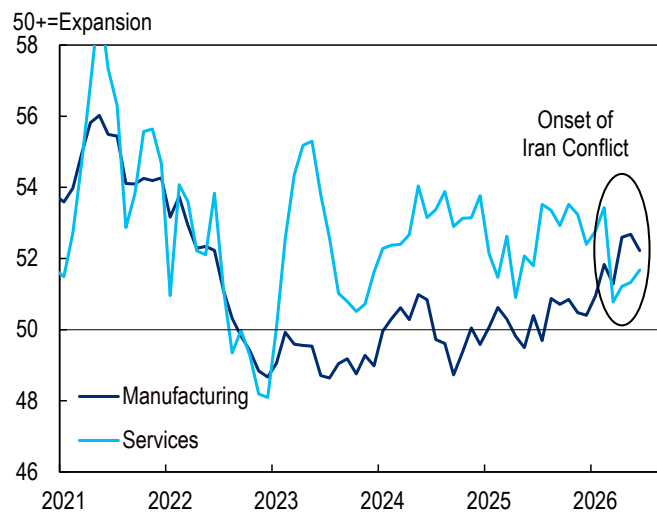


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Source: Citi Research

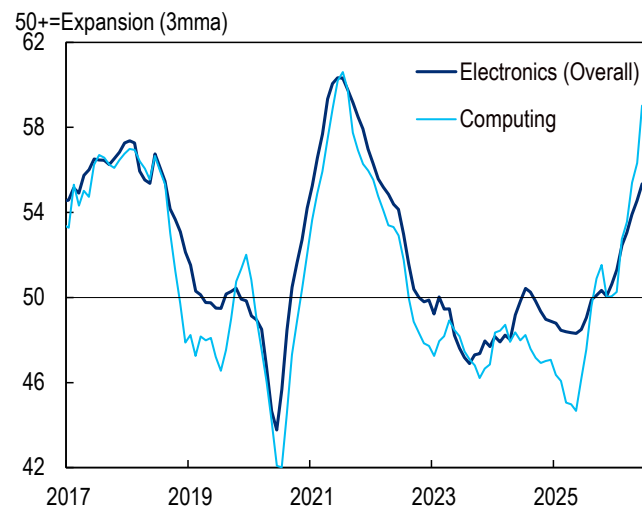
The good news is that the global economy has shown continued resilience. Our forecast for growth this year is running near 2½%, which is down only a few tenths from when the conflict erupted (Figure 2). In recent years, the global economy has shown a remarkable capacity to shake off shocks and continue to record solid growth. We think that this has reflected increased flexibility and adaptability on the supply-side of the economy, driven by technological innovations that facilitate access to information and real-time communication.

Figure 3. Global PMIs: Manufacturing & Services



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Source: Citi Research, S&P Global, Haver Analytics

Figure 4. Global Electronics PMI & Computing Subindex



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Source: Citi Research, S&P Global, Haver Analytics

This theme is reinforced by the recent performance of the global PMIs (Figure 3). The global services PMI retreated as the tensions erupted, but it has since moved back up and is running comfortably above 50, the breakpoint between expansion and contraction. The manufacturing PMI has been on an upward climb since late last year. This reflects burgeoning AI spending following the release of powerful agentic tools in late-2025. Consistent with this observation, the global electronics PMI has surged upward in recent months (Figure 4). The manufacturing PMI has also reflected more temporary factors, including a surge of inventory demand in an effort to front run disruptions from the conflict.

Despite the higher oil prices, the global economy has been broadly supported by rising AI spending. By our reckoning, US AI investment—where we have the cleanest data—has surged from just under \$300 billion last year (1% of GDP) to \$430 billion in Q1. For 2026 as a whole, industry estimates put likely spending at \$600 billion (nearly 2% of GDP).¹

In our view, this AI spending has considerable momentum, and it looks robust and likely to continue. However, given the pace of its ascent and the lofty valuations that have emerged, a slackening in the pace of increase—or even a temporary reversal—are plausible downside possibilities that remain on our radar screen. Despite the risks of near-term volatility, we're convinced that AI is a robust technology that will significantly raise levels of productivity growth over the longer term.²

These themes are also echoed at the country level. Figure 5 displays revisions to our growth forecasts since the onset of the US-Iran conflict. Notably, three tech intensive economies—Taiwan, Korea, and Singapore—have seen significant mark-ups in recent months, as soaring AI demand has supported growth. Conversely, our projections have been lowered appreciably for oil importers that don't produce AI, including the Philippines, Sweden, Chile, and the euro area. Our US forecast is down just a couple of tenths.

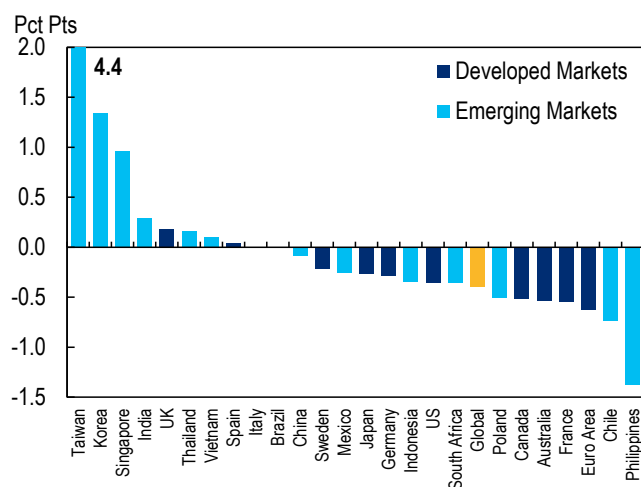
¹ "Big Tech's \$600 Billion Spending Plans Exacerbate Investors' AI Headache" (Feb 6, 2026); Reuters.

² For more details, see: [Productivity & the AI Revolution: Implications for the Economy and Markets](#).

Figure 6 reproduces this exercise for our headline inflation forecasts. Our global projection is up $\frac{3}{4}$ ppt from February. This reflects both the direct effects of higher oil prices, as well as indirect pressures due to supply-chain disruptions, increased transportation costs, and lingering second-round effects.³

At the country level, headline inflation forecasts for a range of economies including the US, euro area, Vietnam, and Brazil have been raised a full percentage point, while the mark-ups for Thailand and the Philippines are significantly larger. Of those countries posting smaller increases, several of them—including Indonesia, China, and India—have mechanisms in place to constrain the pass-through of higher oil prices to domestic inflation.

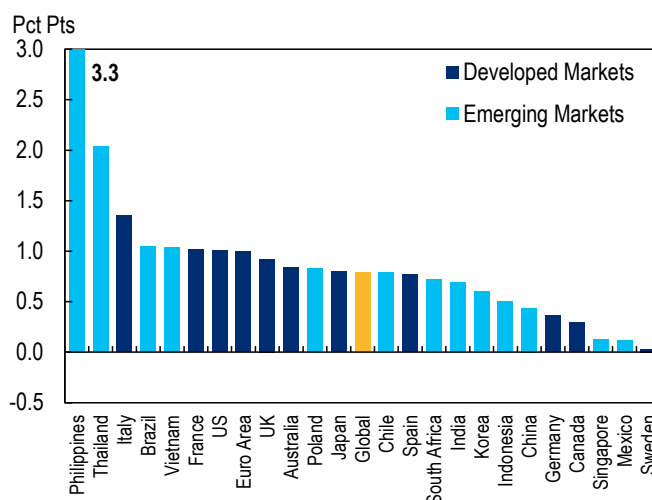
Figure 5. 2026 Growth Forecasts: Delta Since Feb (Citi)



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Source: Citi Research

Figure 6. 2026 Headline Inflation Forecast Revisions (Citi)*



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*Change from February forecasts; US forecast is for PCE.

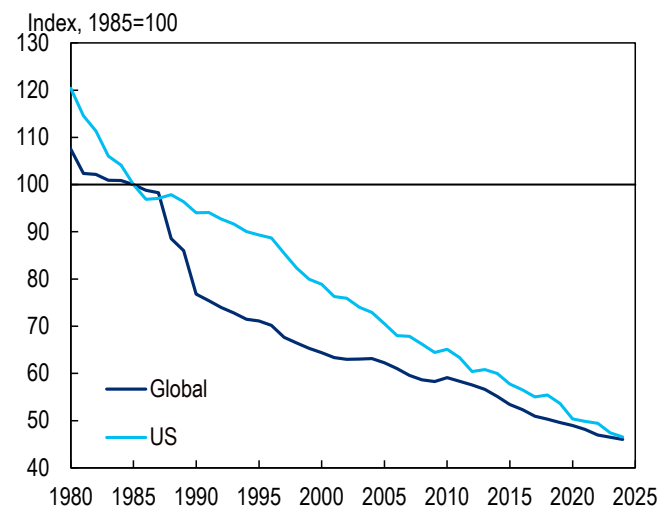
Source: Citi Research

Clearly, there are both upside and downside risks to our inflation forecasts, depending on the trajectory of oil prices through year-end. If the US and Iran return to negotiations and oil shipments through the Strait resume, inflation could yet undershoot our projections. However, there are also risks of higher inflation in the event that oil prices return to over \$100/barrel.

In sum, the global economy has absorbed a significant shock with the higher oil prices that followed the Iran conflict and the closure of the Strait of Hormuz. As recent developments highlight, this shock remains very much in play. While the resulting pressures and uncertainties have taken a bite out of global performance, the pain to date has been more manageable than we had expected.

³ For more details, see: [Turmoil in the Middle East—Implications for Supply Chains](#).

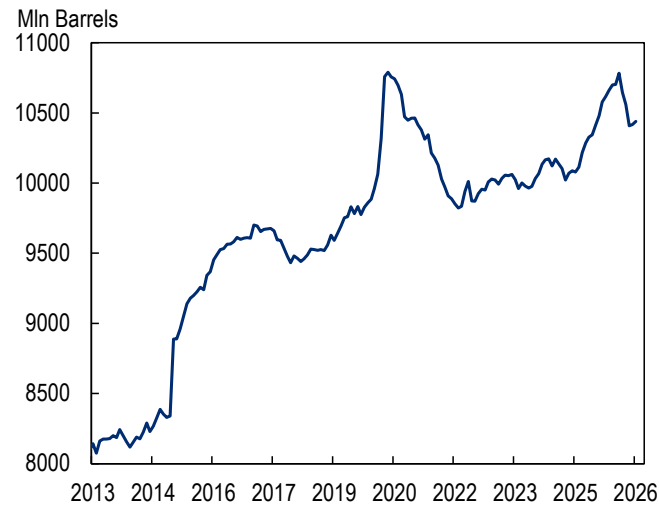
Figure 7. Energy Intensity of GDP



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Source: Citi Research, Energy Institute, Haver Analytics

Figure 8. Global Inventories: Oil & Refined Products



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Source: Citi Research, OilX, OECD

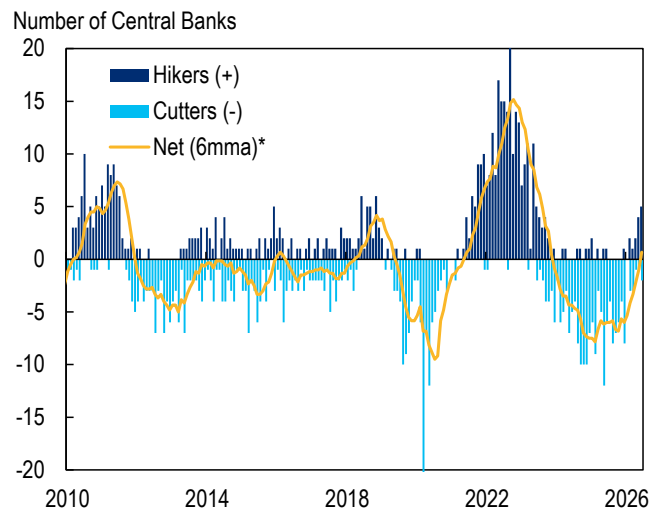
This observation leaves us correspondingly more sanguine about the prospects for the remainder of the year, even if pressures in oil markets linger. The reality is that the global economy is less dependent on oil than in previous decades (Figure 7). In addition, only part of last year's sizable accumulation of petroleum inventories has been reversed, and global inventory levels are generally still ample (Figure 8).

The remainder of our essay draws on this discussion to examine the shifting terrain and associated policy challenges facing global central banks. Relative to our expectations before the conflict erupted, monetary policy looks to be on a less supportive trajectory, as central banks seek to get inflation back to their targets.

Global Central Banks

As the year began, major global central banks were in the midst of an easing cycle, which was unwinding the rate hikes in the aftermath of the pandemic (Figure 9). Since the onset of the Iran conflict, however, central banks have faced increased inflationary pressures and, in many cases, slippage in efforts to achieve their targets. While this slippage was driven primarily by higher oil prices (Figure 10), many central banks were hesitant to reprise their post-pandemic strategy of “looking through” an evolving supply shock. Although this more muscular response risks “overlearning” the lessons of the previous episode, central bank communication and market pricing have shifted markedly in the direction of tighter policy.

Figure 9. Global Central Banks: Hikers vs. Cutters

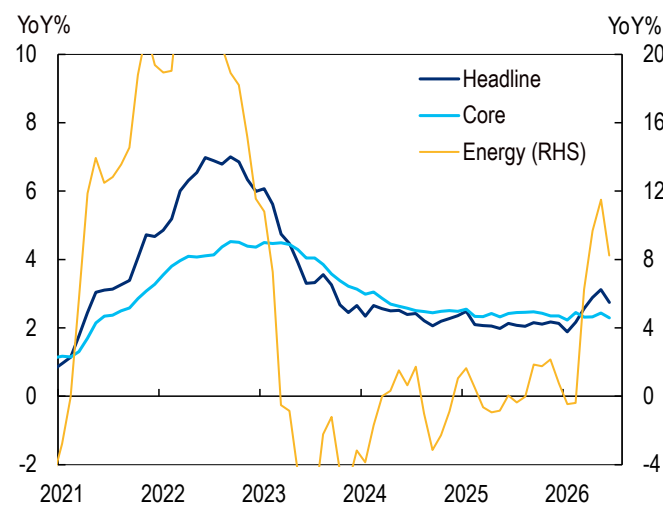


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*Across 27 major central banks, net number hiking (+) or cutting (-) rates.

Source: Citi Research, National Statistical Sources, Haver Analytics

Figure 10. Global Inflation*

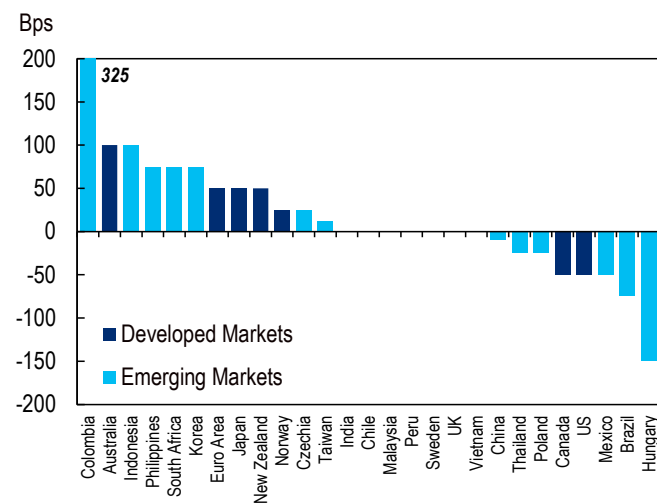


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*Headline, core, and energy inflation cover 15 economies.

Source: Citi Research, National Statistical Sources, Haver Analytics

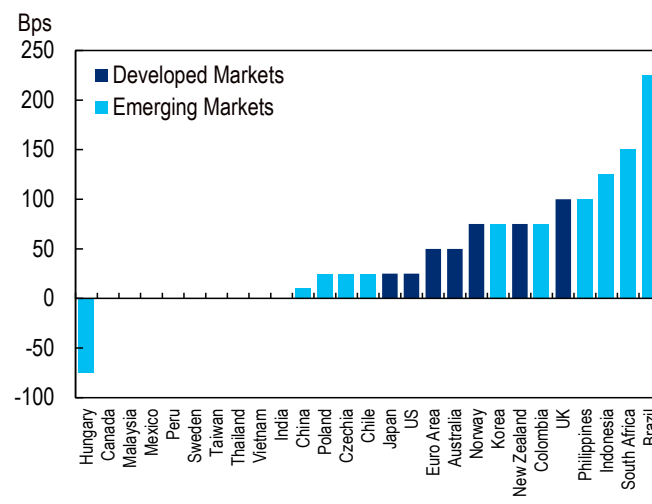
Figure 11. Policy Rate Changes in 2026 (Citi Forecast)



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Source: Citi Research

Figure 12. Policy Rate 26Y/E Forecasts: Delta Since Feb (Citi)



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Source: Citi Research

Across our panel of 27 major central banks, the balance between cutters and hikers has moved toward less-supportive policy. For example, during June, five central banks lifted rates, including the ECB, the Bank of Japan, and the Bank of Indonesia. Accordingly, we now expect that twelve of these 27 central banks will be hiking this year, and another seven will be on hold (Figure 11). Of the eight projected cutters, six of them would be easing by 50 bp or less. Only Brazil and Hungary are projected to record more sizable cuts.

This story is distinctly different than before the Iran conflict. Across our panel, seventeen now have less supportive policy paths than in late February, and for nine others the policy path is unchanged (Figure 12). Projected policy rates at year-end are tighter by over 200 bp in Brazil and 100 bp or more in the Philippines, the UK, Indonesia, and South Africa. Only Hungary is slated to see easier policy; in this

case, currency appreciation following Orban's defeat in the presidential election has given the central bank increased scope to provide support.

A convincing (and sustained) resolution of the conflict in Iran could yet bring a markedly lower trajectory for oil prices. But at present, such resolution does not look imminent. While we expect that negotiations will resume, they are likely to continue to be fraught, uneven, and prolonged. Accordingly, pressures in the Strait and corresponding uncertainties for energy markets look poised to remain in play for some time to come.

We conclude this section with brief discussions of the differing policy situations facing the Federal Reserve, European Central Bank, and Bank of Japan. These snapshots provide useful insight into the broad challenges facing central banks around the world.

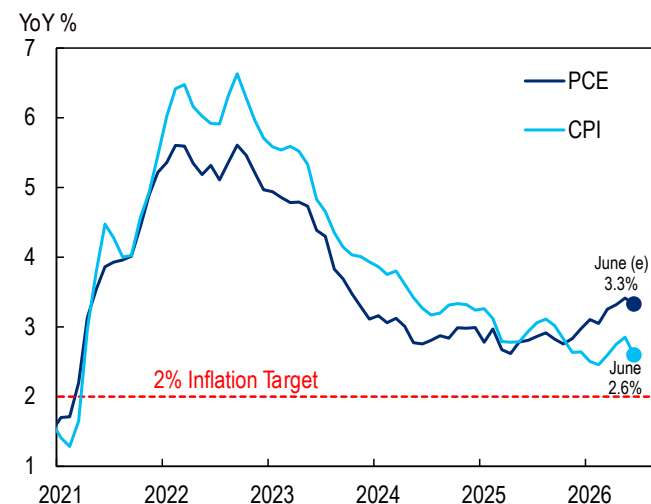
The Federal Reserve. Since being sworn in, Chair Kevin Warsh has eradicated concerns about a sharp dovish, politically induced shift in Federal Reserve policy. He has underscored his commitment to independence in the setting of Fed policy rates, and he has emphasized the need for the Fed to double down in the pursuit of its 2% inflation target. The Fed has overshot its target for five consecutive years—and is likely to miss it again this year (Figure 13). As such, Warsh has struck a somewhat hawkish tone regarding his policy preferences, although he has rigorously avoided anything that could be construed as “forward guidance.”

Markets are continuing to price in between one and two Fed hikes through the end of the year. In contrast, our US economists remain worried about the durability of the labor market, notwithstanding its stronger performance over the past six months, and envision the Fed *cutting* rates through the last two meetings of this year and the first meeting of next year.

Chairman Warsh is also thinking deeply about the Fed's underlying approach to monetary policy. He has commissioned five task forces to examine a range of key issues. Of these, we see the groups examining communication and the balance sheet as especially important, since they are open policy questions that the Fed must eventually resolve. Of course, these are also topics where FOMC participants are likely to have deeply held views, so the results of the task forces will hardly be determinative.

The other three groups—on inflation forecasting, productivity, and data protocols—will no doubt also yield relevant insights and influence the broader framework of Fed policy. However, they are complex issues that have implications far beyond the Fed's specific policy remit.

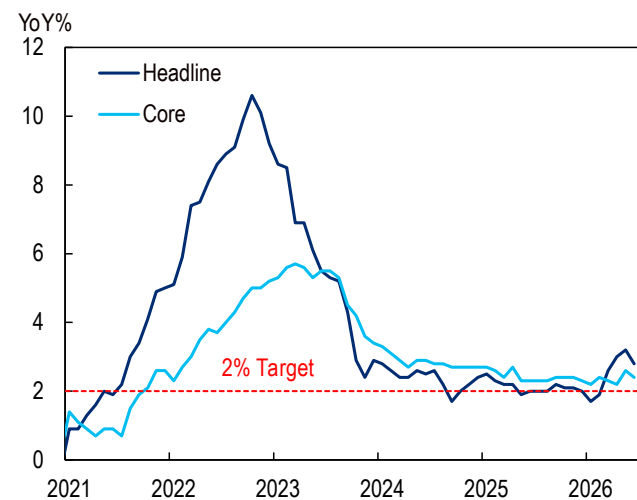
Figure 13. US Core Inflation



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Source: Citi Research, BLS, BEA, Haver Analytics

Figure 14. Euro Area Inflation



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Source: Citi Research, Eurostat, Haver Analytics

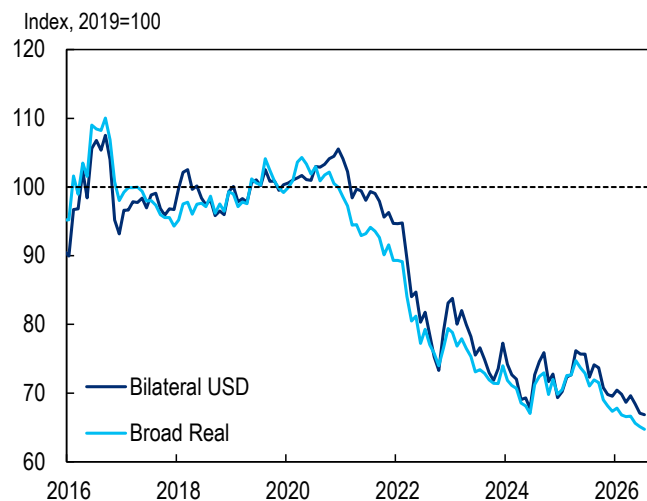
The European Central Bank. In the face of the recent oil shock, the Governing Council has been focused on not repeating the policy errors of the post-pandemic period, when it waited too long to tighten. With this in mind, the ECB hiked rates at its June meeting, and we anticipate that another hike is forthcoming, either at the meeting later this week or (more likely) in September. While oil prices are down from their spring peaks, policymakers will still see sufficient second-round pressures in the pipeline, as well as persisting risks of higher oil prices, to justify another hike.

As highlighted in Figure 14, headline inflation has clearly moved above the ECB's 2% target. Even so, the current situation is hardly comparable to the eruption in inflation a few years ago. Headline inflation rose to 3.2% in May, but it subsequently retreated back to 2.8% in June as oil prices moderated. In tandem, core inflation has hovered around 2½%. As such, we view the ECB's tightening as largely a preemptive strike to reinforce its credibility and ensure that inflation expectations remain well anchored. In this respect, the ECB has chosen a notably more hawkish policy path than the Fed, at least to date.

The Bank of Japan. The BoJ continues its trajectory of gradually normalizing policy. After decades of too-low inflation, Governor Ueda has been comfortable remaining structurally behind the curve. The BoJ's policy has lagged the pace of the economy's reflation to cautiously ensure that the shift in economic conditions becomes fully entrenched. Policy has been geared to avoiding impatience and inadvertently forestalling the achievement of sustained 2% inflation.

However, the intellectual case for the BoJ to hike more aggressively is strengthening. First, the policies of the Takaichi Administration are geared to achieving a "high pressure" economy. Second, conditions in Japan's labor market have shifted appreciably. For example, the spring wage negotiations have yielded increases in excess of 5% for the past three years. Third, the yen has fallen to historically low levels, and pressures in the bond market appear to be amplifying (Figures 15 & 16). As such, there is an increasingly compelling case for a marked tightening of monetary policy.

Figure 15. Yen Exchange Rates*

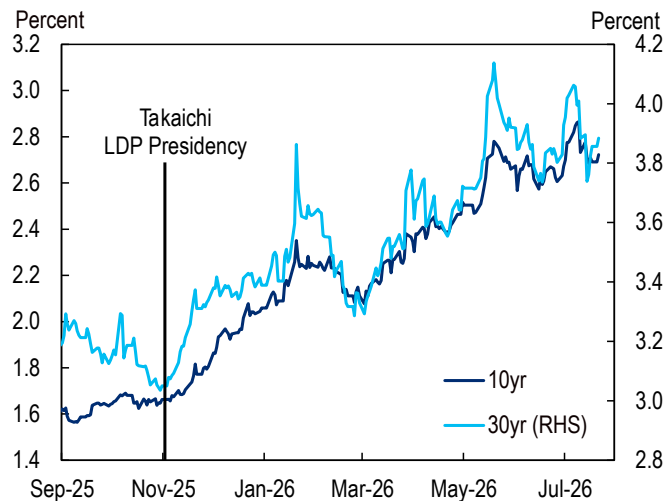


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*Increasing value reflects appreciation (depreciation) of yen (US dollar);
Broad real is price adjusted and against all trading partners.

Source: Citi Research, Bloomberg

Figure 16. JGB Yields: 10yr & 30yr



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Source: Citi Research, Bloomberg

At a minimum, Governor Ueda and his colleagues should carefully consider the rationale for tighter policy. A key question is how such a pivot by the BoJ would be greeted by the Takaichi Administration, as well as the extent to which pushback from the Administration would be a constraint on the BoJ. In any event, with the economy's ongoing expansion, the BoJ and the Takaichi Administration will likely need to address this issue in the not-too-distant future.

Overview of July Projections

For our forecasts, [click here](#).

Figure 17. Selected Economy GDP and CPI Inflation Forecasts

	GDP GROWTH					CPI INFLATION				
	2025	2026	2027	Differences from last GEOS		2025	2026	2027	Differences from last GEOS	
				2026	2027				2026	2027
Global	2.9	2.5	2.8			2.8	3.4	2.7		
Industrial Economies	1.8	1.4	1.6			2.6	3.1	2.2		
United States	2.1	2.1	1.8		-0.1	2.6	3.5	2.1		
Canada	1.9	0.5	1.5	-0.5	-0.2	2.1	2.6	2.1	0.2	0.1
Euro Area	1.5	0.6	1.4	0.3		2.1	2.8	2.3		0.1
Germany	0.3	0.7	1.1	0.1		2.3	2.5	2.0	-0.2	-0.4
France	0.9	0.6	1.0	-0.1		0.9	1.9	1.6	-0.2	-0.3
Italy	0.7	1.0	1.1	0.2	0.1	1.6	2.7	2.0	-0.1	0.1
Spain	2.8	2.6	2.0			2.7	3.3	2.8	0.1	0.2
United Kingdom	1.3	1.1	0.9			3.4	3.1	2.8	0.2	0.2
Japan	1.2	0.7	1.0			3.2	2.0	1.4		
Emerging Markets	4.3	3.9	4.3			3.1	3.7	3.4	-0.1	0.1
Emerging Asia	5.1	5.0	4.7		-0.1	0.8	2.0	2.0		0.1
China	5.0	4.6	4.5	-0.1	-0.1	0.1	1.0	1.2		
India	7.5	7.1	7.0			2.2	4.3	4.3	-0.4	0.1
ASEAN-5	4.6	4.3	4.1	0.2	0.1	1.5	3.0	2.6	-0.1	
Emerging Europe	2.6	2.1	2.5	0.1		12.5	11.3	9.7	0.1	0.3
Poland	3.6	3.5	2.9			3.6	3.0	3.3		
Turkey	3.6	2.3	3.2	0.1		34.9	31.2	25.1	0.3	1.0
Latin America	2.1	1.9	2.2		-0.1	8.1	7.0	6.2	-0.1	
Brazil	2.3	1.8	1.8			5.0	4.6	4.1		
Mexico	0.5	1.1	2.0			3.8	4.0	3.7	-0.2	
Middle East/Africa	4.1	1.7	6.1	-0.3	0.2	4.6	4.6	3.9	-0.1	-0.1
Egypt	5.1	5.0	6.1			14.1	14.2	7.7	-0.8	-0.6
Nigeria	4.3	4.6	5.2			23.0	15.2	11.9		
Saudi Arabia	4.6	0.9	7.0	-0.8	0.8	2.0	2.0	2.3	-0.1	-0.1
South Africa	1.1	1.3	1.6			3.2	3.9	3.6	-0.3	-1.1

Source: National Sources, Citi Research

Figure 18. Selected Economy Policy Rate Forecasts (%)

	Current	Q1 2026	Q2 2026	Q3 2026	Q4 2026	Q1 2027	Q2 2027	Q3 2027	Q4 2027
United States	3.75	3.75	3.75	3.75	3.25	3.00	3.00	3.00	3.00
Japan	1.00	0.75	1.00	1.00	1.25	1.25	1.50	1.50	1.50
Euro Area	2.25	2.00	2.25	2.50	2.50	2.50	2.50	2.50	2.50
Canada	2.25	2.25	2.25	2.25	1.75	1.75	1.75	1.75	2.00
Australia	4.35	4.10	4.35	4.35	4.60	4.60	4.60	4.35	4.35
United Kingdom	3.75	3.75	3.75	3.75	3.75	3.75	3.50	3.25	3.25

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Euro Area is Deposit Rate

Source: Citi Research, Bloomberg

Figure 19. Selected Economy Forecasts

		Central Bank Policy Rate (%)			Current Account % GDP			Fiscal Balance % GDP			Gov debt % GDP		
		2025	2026	2027	2025	2026	2027	2025	2026	2027	2025	2026	2027
Global		3.80	3.75	3.42	0.4	0.6	0.7	-4.6	-4.7	-4.6	96.5	96.2	97.1
	Industrial Economies	2.92	2.86	2.71	-1.3	-0.9	-0.9	-4.8	-5.0	-5.2	113.8	113.4	114.7
	United States	3.75	3.25	3.00	-3.8	-3.2	-3.2	-6.8	-7.3	-7.5	123.3	123.9	126.1
	Canada	2.56	2.13	1.81	-1.0	-0.8	-1.7	-2.4	-2.1	-1.9	100.7	101.2	101.7
	Euro Area	2.00	2.50	2.50	1.7	1.5	1.3	-2.9	-3.4	-3.6	88.2	88.9	89.4
	Germany	-	-	-	4.5	4.7	4.3	-2.7	-3.9	-4.2	63.4	65.6	67.5
	France	-	-	-	-0.3	-0.3	-0.2	-5.1	-5.2	-5.0	115.5	118.1	119.5
	Italy	-	-	-	1.1	0.9	1.1	-3.1	-2.8	-2.6	137.1	137.6	137.1
	Spain	-	-	-	3.0	2.5	2.0	-2.4	-2.5	-2.6	100.7	97.9	96.3
	United Kingdom	3.75	3.75	3.25	-2.3	-2.1	-2.2	-7.4	-3.7	-3.1	94.3	93.2	93.2
	Japan	0.75	1.00	1.50	4.6	5.1	5.2	-1.3	-2.2	-2.7	229.6	226.8	224.5
	Emerging Markets	4.92	4.84	4.26	2.5	2.5	2.6	-4.2	-4.3	-4.0	74.4	75.3	76.1
	Emerging Asia	2.41	2.42	2.38	3.9	4.2	4.2	-4.0	-3.9	-3.7	91.8	92.4	92.8
	China	1.40	1.30	1.20	3.8	3.4	3.2	-4.0	-4.0	-3.8	107.2	108.2	109.2
	India	5.25	5.25	5.25	-0.5	-0.9	-0.4	-7.3	-7.1	-7.1	85.0	84.1	83.1
	ASEAN-5	3.27	3.71	3.59	3.3	2.2	2.8	-2.8	-2.8	-2.5	73.8	74.4	75.2
	Emerging Europe	12.31	11.86	9.47	-0.8	-1.5	-1.4	-3.9	-4.0	-3.8	35.3	36.3	37.6
	Poland	4.00	3.75	3.75	-0.9	-1.5	-1.9	-7.3	-6.9	-6.7	49.1	52.9	56.7
	Turkey	38.00	35.00	27.00	-1.9	-3.1	-3.4	-2.9	-3.7	-4.4	23.7	22.6	23.4
	Latin America	8.76	8.64	7.97	-1.7	-1.4	-1.5	-5.1	-5.5	-4.8	63.6	66.3	67.9
	Brazil	15.00	14.25	12.50	-2.9	-2.1	-2.0	-8.3	-9.3	-8.4	78.6	83.7	88.1
	Mexico	7.00	6.50	6.50	-0.5	-1.0	-1.0	-4.3	-4.4	-3.7	52.6	54.8	55.2
	Middle East/Africa	5.56	5.61	4.30	2.8	1.6	1.8	-4.5	-5.1	-4.2	24.6	23.9	24.2
	Egypt	20.00	19.00	11.00	-3.4	-4.3	-3.8	-6.1	-5.5	-4.7	74.7	66.3	61.5
	Nigeria	27.00	25.50	17.50	4.5	4.0	2.2	-2.9	-2.9	-2.8	27.2	23.0	22.8
	Saudi Arabia	-	-	-	-2.6	-1.0	-1.1	-5.8	-6.6	-5.0	-	-	-
	South Africa	6.75	7.50	7.00	-0.2	-0.3	-0.5	-4.5	-4.5	-4.4	74.9	76.0	80.1

Source: National Sources, Citi Research

Figure 20. Selected Economy 10-year yields (%)

	Current	Q1 2026	Q2 2026	Q3 2026	Q4 2026	Q1 2027	Q2 2027	Q3 2027	Q4 2027
United States	4.62	4.32	4.47	4.25	3.90	3.90	3.90	3.90	3.90
Japan	2.72	2.18	2.55	2.70	2.80	2.70	2.65	2.60	2.60
Euro Area (bunds)	3.17	2.86	3.01	3.00	3.00	3.00	3.00	3.10	3.10
Canada	3.56	3.38	3.48	3.48	3.48	3.48	3.48	3.48	3.48
United Kingdom	5.04	4.54	4.89	4.95	5.00	4.75	4.65	4.50	4.50

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Source: Citi Research, Bloomberg

Select Economy Discussion

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Resilient activity, stable unemployment rate, and sticky core PCE inflation have kept the market pricing rate hikes by the Fed over the next twelve months. We continue to think the next Fed move is more likely to be a cut rather than a hike. We expect that core inflation annualizing closer to 2% and YoY core CPI dropping to 2.2% in summer data will allow Fed officials to cut rates if the labor market weakens further. Our base case includes rate cuts in October, December and January to a 2.75-3% policy rate. GDP rose 2.1% in Q1 as consumer spending growth slowed but AI-related investment remained strong. Q2 consumption growth is tracking somewhat stronger with overall GDP likely growing around 2%. We continue to expect solid growth in 2026, due partly to continued strength in AI-related business investment.

Core PCE inflation has been sticky above 3%YoY while core CPI has slowed meaningfully, an abnormal divergence as CPI typically runs stronger than PCE.

There has not been much passthrough from energy prices to core inflation so far and the pullback in oil from the highs of the last few months should limit the upside. Core PCE inflation is sticky in part due to rising prices for AI-related goods like computer software and accessories that get a much larger weight than in CPI. Methodological changes to this category and a couple other categories in September should imply revisions lower to annual core PCE by 20-30bp.

Monthly payroll job growth has been very volatile month-to-month over the last year but has picked up on a 6m moving average. Job growth started to slow again in June and we expect the trend to continue in the near term. The unemployment rate has increased gradually over the last couple of years but has stayed within a narrow range around 4.2-4.4% in the last several months. We expect labor demand to remain softer than labor supply in coming months, which would put further upward pressure on the unemployment rate. The labor market continues to be defined by a low hiring rate but also low layoff rate and is not a source of inflationary pressure as wage growth has slowed.

New Fed Chair Warsh has continued to provide no forward guidance on policy rates. Other Fed officials have generally erred on the hawkish side focusing on PCE inflation. Warsh has announced several task forces that will work on various priorities like communication, balance sheet, data sources, inflation frameworks and productivity/jobs.

Figure 21. United States — Economic Forecasts

		2025F	2026F	2027F	2025		2026				2027			
					Q3	Q4	Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4
GDP	SAAR				4.4	0.5	2.1	1.9	1.8	1.8	1.8	1.8	1.8	1.8
	YoY	2.1	2.1	1.8	2.3	2.0	2.7	2.2	1.6	1.9	1.9	1.8	1.8	1.8
Domestic Demand	SAAR				2.8	0.6	2.2	2.6	1.9	1.9	1.9	1.9	1.9	1.9
	YoY	2.4	2.0	1.9	2.3	1.8	2.0	2.0	1.8	2.1	2.0	1.9	1.9	1.9
Consumption	SAAR				3.5	1.9	0.5	1.9	1.7	1.9	2.1	2.1	2.1	2.1
	YoY	2.6	1.8	2.0	2.6	2.1	2.1	2.0	1.5	1.5	1.9	2.0	2.1	2.1
Business Investment	SAAR				3.2	2.4	10.6	8.0	3.8	2.7	1.9	1.9	1.9	1.9
	YoY	4.1	6.0	2.6	4.0	5.6	5.8	6.0	6.2	6.2	4.1	2.6	2.1	1.9
Housing Investment	SAAR				-7.1	-1.7	-7.8	0.0	2.0	3.0	3.0	3.0	3.0	3.0
	YoY	-2.2	-3.1	2.7	-2.3	-3.8	-5.5	-4.2	-1.9	-0.8	2.0	2.7	3.0	3.0
Government	SAAR				2.2	-5.6	4.4	0.7	0.7	0.7	0.7	0.7	0.7	0.7
	YoY	1.1	0.5	0.7	1.1	-1.2	0.2	0.4	0.0	1.6	0.7	0.7	0.7	0.7
Exports	SAAR				9.6	-3.2	10.9	9.0	3.0	3.0	3.0	3.0	3.0	3.0
	YoY	1.6	5.3	3.4	1.7	1.1	3.7	6.4	4.8	6.4	4.5	3.0	3.0	3.0
Imports	SAAR				-4.4	-1.0	11.8	15.0	3.0	3.0	3.0	3.0	3.0	3.0
	YoY	2.7	3.0	3.7	-1.7	-1.9	-7.0	5.1	7.0	8.1	5.9	3.0	3.0	3.0
PCE Deflator	YoY	2.6	3.5	2.1	2.7	2.8	3.1	3.9	3.6	3.4	2.7	1.9	1.9	1.9
Core PCE Deflator	YoY	2.8	3.2	2.3	2.9	2.9	3.1	3.4	3.3	3.1	2.6	2.3	2.2	2.2
Unemployment Rate	%	4.3	4.5	4.3	4.3	4.5	4.3	4.3	4.7	4.6	4.5	4.3	4.2	4.2
Policy Rate Upper Bound EoP	%	3.75	3.25	3	4.25	3.75	3.75	3.75	3.75	3.25	3	3	3	3
Federal Gov't Balance (Fiscal Year)	US\$bn	-1775	-2055	-2195										
	% of GDP	-5.8	-6.4	-6.5										

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Source: Citi Research, Bureau of Economic Analysis, Bureau of Labor Statistics, Department of Treasury

Canada

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Quarterly GDP growth could remain volatile this year, impacted by substantial shifts in trade patterns. GDP contracted for two quarters in a row, with the output gap remaining negative. Consumption was surprisingly soft in Q1 and headwinds such as slower population growth and higher rates are further headwinds to consumption this year. Q2 GDP growth is tracking stronger but on average growth remains soft.

The unemployment rate has stayed within a range around 6.5-7.0% over the last year. Wage growth slowed sub-4% after some composition issues pushed it higher for a couple of months. We expect the unemployment rate to remain elevated in the second half of the year as labor demand remains soft despite slower population growth. The unemployment rate around 6.5-7% suggests the output gap remains negative.

Headline inflation slowed to 2.8%YoY in June and core measures were very soft sub-2%. Annual core inflation (the average of CPI-trim and CPI-median) has been close to or under 2% for several months in a row. Data like a jump in CFIB price plans keeps us cautious on some near-term risks of stickier core inflation in Q2, similar to last year. But also like last year, we expect softer demand to ultimately keep core inflation subdued and rate hikes very unlikely this year. Home prices have been falling on an annual basis and forward-looking indicators for home prices have generally been soft.

The Bank of Canada has kept policy rates unchanged in the last several meetings at 2.25%, the lower end of the neutral range. Despite markets pricing some probability of a hike, we expect the Bank of Canada will continue cutting policy rates this year to a terminal rate of 1.75% as activity, labor market and core inflation data remain soft. Rate hikes seem unlikely to us in an environment where home prices are falling and core inflation is at target.

Figure 22. Canada - Economic Forecast, 2024-2026F

Metric		Annual			2025	2026				2027			
		2025	2026	2027	4QF	1QF	2QF	3QF	4QF	1QF	2QF	3QF	4QF
Real GDP	YoY	1.9	0.5	1.5	0.7	-0.1	0.9	0.4	1.0	1.4	1.2	1.6	1.7
	SAAR				-1.0	-0.1	2.7	0.1	1.3	1.7	1.7	1.7	1.7
Final Domestic Demand	YoY	2.2	1.5	2.0	1.5	1.3	1.3	1.8	1.7	2.3	1.9	2.0	1.8
	SAAR				2.7	-0.4	3.3	1.6	2.4	1.8	1.8	1.8	1.8
Private Consumption	YoY	2.3	1.4	1.4	1.9	1.9	1.0	1.4	1.1	1.1	1.4	1.5	1.5
	SAAR				2.8	1.4	0.5	1.0	1.5	1.5	1.5	1.5	1.5
Government Spending	YoY	3.2	1.9	2.1	3.1	2.1	1.6	2.2	1.6	2.6	2.2	1.9	1.5
	SAAR				5.6	-2.4	3.0	3.0	3.0	1.5	1.5	1.5	1.5
Private Fixed Investment	YoY	0.4	1.6	3.9	-1.9	-1.6	1.6	2.3	3.9	5.5	3.2	3.6	3.3
	SAAR				-1.7	-3.0	13.1	1.7	4.5	3.3	3.3	3.3	3.3
Exports	YoY	-1.4	1.8	1.8	-2.9	-4.1	6.2	3.8	1.9	2.7	-0.1	1.8	2.7
	SAAR				6.7	-0.5	15.0	-5.0	-0.8	2.7	2.7	2.7	2.7
Imports	YoY	-0.3	3.3	2.9	-1.2	0.7	2.2	5.1	5.4	3.2	2.2	3.0	3.0
	SAAR				2.0	12.0	7.0	0.0	3.0	3.0	3.0	3.0	3.0
Consumer Price Index	YoY	2.1	2.6	2.1	2.2	2.2	3.0	2.8	2.5	2.4	1.8	2.0	2.1
Unemployment Rate	%	6.9	6.6	5.7	6.8	6.6	6.7	6.7	6.3	6.0	5.8	5.5	5.5
Net Exports Contribution		-0.3	-0.5	-0.4	1.3	-3.8	2.0	-1.6	-1.2	-0.2	-0.2	-0.2	-0.2
Inventories Contribution		0.0	-0.4	-0.2	-4.8	4.3	-3.0	0.0	0.0	0.0	0.0	0.0	0.0

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Source: Citi Research, Statistics Canada

Euro Area

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Still stag-flationary – Despite the oil price volatility, our inflation forecasts are roughly unchanged since the last GEOS, with headline inflation still expected to stay close to 3% YY until early 2027. This partly reflects the reversal of energy tax cuts introduced in the spring, which are keeping energy inflation elevated, and partly as we still expect food prices to accelerate later this year (potential effects of El Nino compounding higher transport costs and fertilisers shortages). We expect some but limited indirect effects on core prices from higher energy prices, mainly in core goods, with core HICP edging higher to 2.5% YY by year-end.

Resilient growth (ex- Ireland) – Volatility in Irish GDP keeps us revising our 2026 GDP forecast for the Eurozone *higher* this month (by 0.3pp to 0.6%). Still this is weaker growth than in 2025 (at 1.3%) and we attribute the slowdown mostly to the delayed effects of US tariffs on exports in 4Q25 and 1Q26, after a large front-loading earlier last year. Aside from Ireland, Eurozone growth has been remarkably steady at just above 1% annualised rate (and domestic demand around 1.5%) recently. 2Q 26 high-frequency data suggest a similar pace has been maintained, with some slowdown in services offset by a mild recovery in manufacturing. We expect growth to accelerate in 2027 at 1.4% on peak fiscal stimulus. European growth should benefit from 'autonomy spending' (defense, green, technological investment) and from the global tech investment cycle.

ECB: Inflatio Delenda Est – The ECB delivered a 25bp 'hawkish' hike in June and after the meeting we found little reason to invalidate the plausibility of a second hike this year. The recent volatility in oil prices and lower-than-expected June inflation may have the ECB skipping the July meeting, but the fact that inflation will likely stay close to 3% in 2H26 and that upside inflation risks have clearly intensified again (from AI, El Nino, energy disruptions, etc) we still think another 25bp rate hike remains a base case, with the most likely timing in September.

Figure 23. Euro Area -- Economic Forecasts

					2025	2026				2027			
		2025	2026F	2027F	Q4	Q1F	Q2F	Q3F	Q4F	Q1F	Q2F	Q3F	Q4F
Real GDP	YoY	1.5	0.6	1.4	1.1	0.5	0.7	0.6	0.8	1.2	1.4	1.5	1.5
	SAAR	-	-	-	0.8	0.0	0.7	1.1	1.3	1.6	1.6	1.3	1.3
Final Domestic Demand	YoY	1.9	1.4	1.7	1.8	1.2	1.6	1.4	1.3	1.6	1.7	1.8	1.8
Private Consumption	YoY	1.5	0.9	0.9	1.3	1.1	0.9	1.0	0.7	0.7	0.9	0.9	0.9
Government Consumption	YoY	1.4	2.1	1.4	1.5	2.3	2.4	2.1	1.9	1.7	1.5	1.4	1.2
Fixed Investment	YoY	3.2	1.7	4.2	3.3	0.3	2.4	2.0	2.0	3.5	4.1	4.6	4.6
— Business Equipment	YoY	4.8	2.4	5.7	3.9	0.0	3.7	2.6	3.2	4.6	5.6	6.0	6.5
— Construction	YoY	1.4	0.9	2.5	2.6	0.6	1.1	1.3	0.7	2.4	2.4	3.0	2.4
Stocks (Contrib to YY GDP Growth)	pp	0.0	0.1	-0.5	0.0	0.6	0.1	0.0	-0.2	0.6	0.1	0.0	-0.2
Exports	YoY	2.2	0.0	1.8	2.1	-0.9	0.2	-0.1	0.8	1.5	1.7	1.9	2.1
Imports	YoY	3.6	1.9	1.5	3.8	1.9	2.5	1.5	1.6	1.5	1.5	1.5	1.6
HICP	YoY	2.1	2.8	2.3	2.1	2.0	3.0	2.9	3.2	2.9	2.2	2.1	1.9
CPI Ex Energy and Food	YoY	2.4	2.4	2.2	2.4	2.3	2.4	2.5	2.6	2.6	2.2	2.0	1.9
Unemployment Rate	YoY	6.3	6.3	6.1	6.3	6.3	6.3	6.3	6.3	6.2	6.2	6.1	6.0
Current Account Balance	EUR bn	262.5	248.7	224.5									
	% of GDP	1.7	1.5	1.3									
General Government Balance	EUR bn	-466.1	-565.4	-610.0									
	% of GDP	-2.9	-3.4	-3.6									
Government Primary Balance	% of GDP	-1.0	-1.3	-1.3									
General Government Debt	EUR bn	14,159											
		.1	14,724.5	15,334.5									
	% of GDP	88.2	88.9	89.4									

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Source: Citi Research, Eurostat

Germany

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After a first year of apparent paralysis, Germany's government embarked on a reform 'blitz' of sorts. A commitment to implement an expert commission's reform proposals in their entirety was followed by a (modest) income tax reform as well as plans to increase labour market flexibility and reduce red tape. A reform to the public health insurance system already agreed earlier this spring is now also set to become law, albeit after tweaks that somewhat blunt the initial draft's impact.

France

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France's domestic demand remains lacklustre compared to Euro Area peers and inflation is accordingly lower. The latter might be, on the face of it, a positive during times of an energy price shock, but the resulting higher real rates leave the economy comparatively more vulnerable to monetary policy tightening. Unemployment is already increasing and with fiscal policy too constraint to provide support, we think matters might deteriorate further in the short term.

Italy

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We reverse some of the recent stag-flationary adjustments to our forecasts, with 2026-27 growth revised up marginally, but inflation essentially unchanged since June (when was revised lower quite substantially). We still see Italian growth supported by NGEU spending in 2026 and in 2027, German fiscal stimulus and European defense investment. We expect the government [fiscal conservatism](#) to persist even after the next general election (likely in spring 2027) and demand for BTPs to remain solid, with [potential for further credit rating upgrades](#) ahead.

Spain

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Thanks to a bigger reliance on renewable energy and LNG, Spain is weathering the energy shock better than others. Growth is solid at around 2.5% this year supported by NGEU spending, large immigration inflows and falling structural unemployment. We expect these tailwinds to recede somewhat but remain in place in 2027-28. A real estate recovery could be slowed down by higher ECB rates.

Figure 24. Germany, France, Italy and Spain – Economics Forecasts

		Germany			France			Italy			Spain		
		2025	2026F	2027F	2025	2026F	2027F	2025	2026F	2027F	2025	2026F	2027F
Real GDP	YoY	0.3	0.7	1.1	0.9	0.6	1.0	0.7	1.0	1.1	2.8	2.6	2.0
Final Domestic Demand	YoY	1.2	1.0	1.5	1.1	0.8	0.9	1.6	1.5	1.2	3.7	3.3	2.4
Private Consumption	YoY	1.5	0.4	0.7	0.5	0.3	0.6	1.1	0.9	0.6	3.4	2.8	2.0
Government Consumption	YoY	1.5	3.4	1.8	0.7	1.3	1.3	0.6	0.7	1.1	2.4	2.3	1.1
Fixed Investment	YoY	0.0	0.1	3.2	0.7	0.2	2.0	3.8	3.4	2.6	5.8	5.5	4.4
Exports	YoY	-0.7	1.2	0.6	2.4	-0.1	2.9	1.4	2.6	2.3	3.6	2.0	3.2
Imports	YoY	3.2	1.2	1.8	2.9	0.0	2.5	3.9	1.8	1.8	6.2	3.4	4.4
HICP	YoY	2.3	2.5	2.0	0.9	1.9	1.6	1.6	2.7	2.0	2.7	3.3	2.8
Unemployment Rate	YoY	3.8	3.9	4.0	7.5	8.1	8.3	6.1	5.3	5.1	10.5	9.5	8.9
Current Account Balance	EUR bn	199.7	215.3	203.2	-7.5	-8.6	-5.7	25.0	21.5	25.5	51.2	44.7	38.0
	% of GDP	4.5	4.7	4.3	-0.3	-0.3	-0.2	1.1	0.9	1.1	3.0	2.5	2.0
General Government Balance	EUR bn	-117.7	-179.1	-196.8	-152.5	-158.5	-157.6	-70.4	-64.4	-61.2	-40.3	-44.4	-48.6
	% of GDP	-2.7	-3.9	-4.2	-5.1	-5.2	-5.0	-3.1	-2.8	-2.6	-2.4	-2.5	-2.6
Government Primary Balance	% of GDP	-1.6	-2.7	-2.9	-2.9	-2.8	-2.5	0.8	1.2	1.6	0.0	0.0	-0.1
General Government Debt	EUR bn	2,838.2	3,018.5	3,216.7	3460.5	3619.0	3776.5	3095.5	3200.5	3290.5	1698.2	1742.6	1791.2
	% of GDP	63.4	65.6	67.5	115.5	118.1	119.5	137.1	137.6	137.1	100.7	97.9	96.3

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Source: Citi Research, Destatis, INSEE, Istat, INE

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UK GDP has, once again, proven resilient. UK output growth surprised to the upside in Q1 at 0.6% QQ. The result has been a mechanical upgrade in our GDP forecast for 2026 to 1.1% – marginally higher than we saw it in February. We are, however, careful about reading too much into this. Q1 outperformance has become something over a trend over the last few years to the point where the seasonal adjustment process has questioned. We think this looks related to deferred consumption and investment from the previous year's Q4, where the budget process has generated an unusual degree of uncertainty in the economy over the last few years and shifted some output from Q4 to Q1. While we expect the ONS seasonal adjustment process to capture this eventually, for now it means that we also assume a weaker profile throughout the year with Q4 2026 growth at just 0.1% QQ to capture this trend.

Questions remain over the path for inflation. The challenges around the inflation forecast remain as they were at the time of the last GEOS: Hormuz; fiscal intervention on energy bills; degree of pass-through into second-round effects. Each of these remains an unknown and, in their absence, we've left the forecast largely unchanged. That is to say we continue to expect a surge in non-core inflation with only limited second-round effects in services. We continue to watch two themes as we monitor the forecast. The first is whether or not the government opts to intervene on energy bills. Doing so would mechanically lower Q3 inflation but, absent the demand destruction that higher prices would otherwise bring, risks a strong profile through 2027. The second is Hormuz, where the absence of a resolution presents predominantly upside risks as we approach summer.

Fiscal policy presents a familiar challenge. The Treasury's trilemma of building spending pressures, the fiscal rules, and a manifesto which inhibits capacity for large tax increases is back in focus. This is all the more salient as the headroom against the fiscal rules continues to be eroded. While the bulk of the pressure has come from the combination of higher borrowing costs and the reversal of a planned fuel duty increase (see: [European Economics - Is the energy price shock derailing the fiscal impulse?](#)), further pressures are growing. The Prime Minister has recently announced a further £18bn in defence expenditure which – while absent details such as whether this spending lands in CDEL or RDEL, and what time frame it takes place over – will add to these pressures. The Q3 and Q4 energy price caps will also be important to watch. While we think the Q3 one will pass without intervention (in part because of the fuel duty changes), the government may come under pressure to spend to shield households as we approach winter.

Monetary policy still on hold. We continue to maintain that Bank Rate will be on hold at 3.75% for the remainder of 2026. Our view is a doveish stance compared to the current market curve, however we feel it is justified as many on the MPC have signalled in their recent communications that a hold would be seen as restrictive in light of their expectations of the recent weakness of where underlying growth is headed.

Figure 25. UK -- Economic Forecasts

					2025	2026				2027			
		2025	2026F	2027F	Q4	Q1	Q2F	Q3F	Q4F	Q1F	Q2F	Q3F	Q4F
Real GDP	YoY	1.3	1.1	0.9	1.1	1.1	1.1	1.0	1.0	0.6	0.8	1.1	1.3
	SAAR	-	-	-	0.6	2.5	0.6	0.3	0.5	0.9	1.3	1.5	1.6
Domestic Demand (inc. inventories)	YoY	2.0	1.5	1.2	1.6	1.6	1.5	1.5	1.2	0.8	1.1	1.3	1.5
Private Consumption	YoY	0.8	1.1	1.2	0.5	0.8	1.0	1.1	1.2	0.9	1.1	1.3	1.4
Government Consumption	YoY	1.6	1.2	1.2	1.2	1.7	1.0	1.0	1.2	1.1	1.1	1.1	1.2
Investment	YoY	4.3	0.8	2.9	4.6	0.5	0.7	0.6	1.4	2.8	2.9	2.9	2.9
Exports	YoY	2.0	1.2	2.1	0.8	0.7	2.2	0.6	1.3	1.7	1.9	2.3	2.6
Imports	YoY	4.2	2.2	2.8	2.1	1.5	2.2	2.4	2.5	2.6	2.8	2.9	2.9
Unemployment Rate	YoY	4.7	5.1	5.2	5.0	4.9	5.0	5.2	5.3	5.3	5.2	5.1	5.0
CPI	YoY	3.4	3.1	2.8	3.4	3.1	2.7	3.2	3.4	3.4	3.0	2.5	2.2
Current Account	£bn	-70.6	-65.9	-70.1									
	% of GDP	-2.3	-2.1	-2.2									
PSNB	£bn FY	-225.6	-115.8	-102.3									
	% of GDP	-7.4	-3.7	-3.1									
General Govt Balance	% of GDP	-7.4	-3.7	-3.1									
Government Primary Balance	% of GDP	-2.4	-1.4	-0.8									
Public Debt	% of GDP	94.3	93.2	93.2									
Gross Nonoil Trading Profits	YoY	-	-	-									

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Source: Citi Research, ONS

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The GDP recovery remains in place, despite a temporary setback in 1Q26, although the labour market still displays signs of slack and slower growth abroad still weighs on exports. We revise up our 2026 growth forecast on solid monthly data in 2Q to just above 2%. Sweden is well positioned to benefit from the global tech investment cycle, and green and defense investment in the rest of Europe. With inflation still undershooting target, [we see the Riksbank on hold](#) at the cyclical low of 1.75% until end-2027.

Norway

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Growth has been weaker than expected in 1H26 and we consequently revised our 2026 forecast lower. But we still see growth returning to potential for now (0.3–0.4% QQ) ahead. Domestic inflation has been stubbornly elevated, triggering new monetary policy tightening in May: we expect the Norges Bank to hike again in August.

Figure 26. Sweden, Norway and Switzerland -- Economic Forecasts

		Sweden			Norway		
		2025	2026F	2027F	2025	2026F	2027F
Real GDP	YoY	1.8	2.2	2.3	1.7	1.1	1.8
Final Domestic Demand	YoY	1.8	2.2	2.0	2.0	1.3	4.2
Private Consumption	YoY	2.0	2.2	1.7	2.7	1.0	1.6
Government Consumption	YoY	1.4	0.4	0.5	2.4	2.0	2.0
Investment (ex stocks)	YoY	2.0	3.9	3.6	-0.1	1.2	3.8
Exports	YoY	4.2	3.5	2.4	4.2	2.2	2.4
Imports	YoY	4.6	4.1	3.3	3.6	5.0	2.8
CPI	YoY	2.6	1.3	1.9	3.1	3.9	3.0
Unemployment Rate	YoY	9.0	8.5	8.1	4.5	4.7	4.6
Current Account Balance	% of GDP	6.7	6.8	5.8	1.2	14.4	27.8
General Government Balance	% of GDP	-1.4	-2.5	-1.5	11.1	9.9	7.9
General Government Debt	% of GDP	32.8	34.2	34.7	-	-	-

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Source: Citi Research, National Statistical Offices

Japan

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The BoJ Tankan released earlier this month showed business sentiment coming in better than expected, with capital expenditure plans and other components also pointing to resilient results. Meanwhile, consumer prices have continued to track below 2% over the past few months, supported by a deceleration in food inflation and government measures to counter high energy prices. However, as the impact of higher oil prices due to the Middle East situation begins to feed through more fully into CPI — typically with a lag of around six months — inflation is expected to rise above 2% again from the summer onward, potentially approaching 3% temporarily toward year-end and into early next year. That said, the more pressing concern in Japan's macro landscape at present is the market reaction to the government's fiscal stance, ahead of the imminent release of the "Honebuto" Basic Policy on Economic and Fiscal Management and Reform for the next year's budget. Concerns over the expansionary fiscal stance of the Takaichi administration, which champions "responsible, active fiscal policy," have continued to weigh on both the Japanese currency and bond market, with selling pressure persisting into July.

For the BoJ's monetary policy as well, market movements in the yen and JGB yields are currently likely to have a greater bearing on policy decisions than near-term economic data releases. We continue to expect two further rate hikes at a pace of once every six months — in December of this year and June of next year — bringing the terminal rate for the current hiking cycle to 1.5%. However, should concerns over yen weakness and the risk of falling behind the curve intensify excessively, the possibility of a faster pace of rate hikes or a higher terminal rate than currently assumed cannot be ruled out. Key risk factors include a further deterioration in fiscal concerns, increasingly aggressive corporate price pass-throughs, and a more hawkish Fed that could trigger further yen weakness. As the BoJ raised rates at last month's meeting, a hold at this month's meeting is widely expected. Nonetheless, attention will be focused on whether any board members advocate for a rate hike and on the updated economic and price outlook in the Outlook Report.

Figure 27. Japan - Economics Forecasts

					2025	2026					2027			
		2025	2026F	2027F	4Q	1Q	2QF	3QF	4QF	1QF	2QF	3QF	4QF	
GDP	YoY	1.2	0.7	1.0	0.4	0.3	0.3	1.1	1.2	1.0	1.0	1.0	1.1	
	SAAR				0.7	1.8	0.9	1.0	1.0	1.0	1.0	1.1	1.1	
Domestic Demand	YoY	1.5	0.7	1.2	1.2	0.2	0.4	1.3	1.2	1.6	1.2	1.0	1.2	
	SAAR				0.5	0.6	1.7	2.6	0.1	1.9	0.0	2.1	0.8	
Private Consumption	YoY	1.5	0.9	0.9	1.4	1.1	1.2	1.0	1.2	1.0	1.0	0.9	0.9	
	SAAR				0.3	1.4	1.0	1.1	1.1	0.8	0.9	0.9	0.9	
Business Investment	YoY	1.9	1.1	1.3	3.2	1.3	0.7	1.2	0.5	1.5	1.4	1.2	1.0	
	SAAR				4.7	-2.8	1.4	1.8	1.8	1.0	1.0	1.0	1.0	
Housing Investment	YoY	-2.5	0.0	-0.4	-4.0	-2.6	-2.8	5.4	0.2	-0.8	-0.6	-0.2	0.0	
Public Investment	YoY	-0.4	1.5	1.0	-1.5	0.8	0.3	2.4	2.5	1.0	1.0	1.0	1.0	
Exports	YoY	2.5	1.6	1.3	-0.3	2.1	-0.2	2.2	2.2	0.8	1.7	1.3	1.4	
	SAAR				0.8	7.4	-2.4	3.3	0.8	1.4	1.4	1.4	1.4	
Imports	YoY	3.8	2.7	0.4	3.2	1.3	-0.3	5.2	4.4	3.4	2.1	-2.5	-1.3	
	SAAR				0.0	1.7	-2.0	22.8	-2.9	-2.3	-6.6	2.0	2.0	
CPI	YoY	3.2	2.0	1.4	2.7	1.4	1.7	2.1	2.2	2.8	1.0	1.1	0.8	
Core CPI	YoY	3.1	2.1	1.5	2.8	1.8	1.7	2.0	2.2	2.7	1.2	1.2	0.9	
Nominal GDP	YoY	4.5	2.7	2.1	3.8	3.6	2.2	2.6	2.3	2.5	2.3	2.1	1.7	
Current Account	¥tn	30.7	34.7	35.9	29.9	39.1	33.9	33.0	33.0	32.4	35.1	38.6	37.5	
	% of GDP	4.6	5.1	5.2	4.4	5.8	5.0	4.8	4.8	4.7	5.1	5.5	5.4	
Unemployment Rate	%	2.5	2.6	2.5	2.6	2.7	2.6	2.6	2.5	2.5	2.5	2.5	2.5	
Industrial Production	YoY	1.4	1.6	2.4	1.6	1.2	1.5	1.8	2.0	2.2	2.4	2.4	2.4	
Corporate Profits (Fiscal Year)	YoY	1.2	0.7	1.0	0.4	0.3	0.3	1.1	1.2	1.0	1.0	1.0	1.1	
General Gov't Balance (Fiscal Year)	% of GDP				0.7	1.8	0.9	1.0	1.0	1.0	1.0	1.1	1.1	
General Gov't Debt	% of GDP	1.5	0.7	1.2	1.2	0.2	0.4	1.3	1.2	1.6	1.2	1.0	1.2	

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Note: Corporate profits are TSE-I consolidated recurring profits.

Source: Citi Research, CEIC Data Company Limited, Haver Analytics

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Australia

The back-and-forth in the Middle East adds to near-term uncertainty to the outlook, namely the inflation outlook, where risks are skewed to the upside. Next week's inflation print for Q2 will be the key data point to determine if the RBA hikes again or not. Our base case is for one more hike in November by 25bps, however, we could pull this forward to August if next week's CPI is higher than expected. Real cash rate remains barely above zero, and the labour market remains tight with a solid increase in minimum wages starting in Q3. Towards the end of the year, the RBA will likely be facing the prospect of a super El Nino weather event that could bring drought conditions and a negative supply shock to agricultural production. This would be the 3rd El Nino events Australia has suffered in the past 10 years. Therefore, we continue to see risks tilted to the hawkish side in second half 2026.

New Zealand

The RBNZ commenced its hiking cycle in July by raising the OCR by 25bps, as widely expected. Solid Q1 GDP and upward revisions to three of the previous four quarters have eliminated the economy's negative output gap. The Bank noted that growth in Q2 had likely improved further. Upward revisions suggest the economy has been more responsive to previous accommodative monetary policy and that expectations for a higher unemployment rate may need to be revised downwards by the RBNZ at the August MPS. Q2 CPI was also broadly in-line with the Bank's view. However, while oil prices drove the 1.5% increase in headline inflation, there are early signs that second order effects from the Middle East conflict are impacting broader inflation. For example, residential construction costs increased because of higher material prices. With the RBNZ positioned for a neutral rate between 3.00% and 3.50%, the MPC needs to unwind excess accommodation. We expect the MPC to conduct another 25bp hike on Sep 2, lifting the OCR to 2.75%.

Figure 28. Australia and New Zealand - Economics Forecasts

	Australia			New Zealand		
	2025	2026F	2027F	2025	2026F	2027F
Real GDPa	2.0	1.8	1.9	0.2	1.8	2.7
Real GDP (4Q versus 4Q)	2.5	1.4	2.0	1.1	2.4	2.7
Private Consumption	2.1	1.7	1.5	1.6	2.3	2.6
Govt. Current & Capital Spendingb	3.4	1.6	1.9	1.2	0.5	0.5
Housing Investment	5.9	2.8	2.7	-4.8	2.5	8.0
Business Investment	1.9	8.4	3.0	-2.0	0.0	2.0
Exports of Goods & Services	2.7	0.7	3.5	2.1	0.3	1.0
Imports of Goods & Services	0.0	3.5	2.9	0.7	0.0	1.2
CPI	2.8	4.1	2.7	2.5	2.6	1.8
CPI (4Q versus 4Q)	3.6	3.9	2.7	2.3	1.9	1.9
Unemployment	4.1	4.9	4.9	5.4	5.2	5.1
Merch. Trade, BOP (Local Currency, bn)	45.6	20.1	25.5	-1.6	-5.4	-8.6
Current Account (Local Currency, bn)	-76.8	-92.3	-80.2	-9.7	-15.3	-17.3
Percent of GDP	-2.7	-3.1	-2.5	-2.2	-3.4	-3.7
Budget Balanced (Local Currency, bn)	-11.4	-29.7	-25.0	-16.1	-15.9	-11.7
Percent of GDP	-0.4	-1.0	-0.8	-3.6	-3.5	-2.5
General Govt. Debt (% of GDP)e	53.3	51.3	50.1	46.6	52.1	55.1

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Note: F Citigroup forecast. NA Not available. a, Averaged-based GDP in Australia and New Zealand. b, In New Zealand excludes capital spending. c, In New Zealand includes government capital spending. d, Fiscal year ending June. Australia's underlying cash balance. e, Australia and New Zealand Budget definition and forecasts.

Source: Citi Research, Haver Analytics

China

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GDP growth slowed more than expected in 26Q2. The quarterly rate fell to 4.3%YoY, the lowest reading since 2023. Sequential change as reported by the NBS dropped to 0.9%QoQ SA, also a four-year low. The quarterly miss in 26Q2 serves as a reminder that headline resilience is not assured amid the K-shaped economy. **[1] The AI-led new economy continues to run strong.** The NBS noted >40% growth contribution from the new economy. [Exports](#) beat expectations at 27.0%YoY in June, with IC exports more than doubling at 121.9%YoY. Domestic industrial production also rebounded to 5.3%YoY, and high-tech IP stayed solid at 14.1%YoY. **[2] There is no sign of pickup in the old economy.** Acceleration of trade-in subsidies and base effect drove retail sales back to growth in June at 1.0%YoY, still a low rate, while the household saving rate stayed elevated at 40.0% in 26H1. The investment slump showed no sign of easing with FAI growth staying low at -10.0%YoY, per our estimate. The green shoots in the property sector seem to have sustained with sales volume and prices holding up in top-tier cities, but this trend is not broadening to other regions yet.

We expect incremental policies ahead following the data miss. The upcoming Politburo meeting could provide more policy signals. We continue to expect a 10bp rate cut from the PBoC and an acceleration in fiscal implementation in our base case. We pencil in the 10bps cut in 26Q3E with the PBoC holding LPRs unchanged in July. We also expect the [de facto fiscal austerity](#) to reverse in 26H2 as deployment accelerates, and the rebound of nominal growth to 6.0%YoY in 26Q2 could give the MoF some wiggle room. Targeted measures such as [the “Six Networks” initiative](#) to enable AI transition and stabilize investment are likely to be a key focus.

We have trimmed our full-year forecast to 4.6%YoY from 4.7%YoY previously. The miss in 26Q2 is one driver. Potential extreme weather events like typhoons, heavy rains or floods could cause temporary supply disruptions, limiting the pace of the rebound ahead: cargo volume dropped -11.3%YoY in the first three weeks of July amid Typhoon Bavi and other weather events. We expect GDP growth to rebound to 4.5%YoY in 26Q3E and 4.6%YoY in 26Q4E.

Figure 29. China – Economics Forecasts

					2025	2026					2027			
		2025	2026F	2027F	4Q	1QF	2QF	3QF	4QF	1QF	2QF	3QF	4QF	
Real GDP	YoY	5.0	4.6	4.5	4.5	5.0	4.3	4.5	4.6	4.5	4.6	4.5	4.5	
Final Domestic Demand	YoY	3.6	3.6	4.0										
Consumption	YoY	4.8	4.5	5.1										
Fixed Capital Formation	YoY	2.0	2.5	2.6										
Industrial Production	YoY	4.5	4.4	4.3	5.0	5.7	4.7	4.7	4.9	4.4	4.6	4.5	4.4	
Exports	YoY	5.4	13.0	3.0	3.8	14.7	20.2	13.2	4.4	2.0	1.5	5.5	3.0	
Imports	YoY	0.2	22.0	2.0	3.6	23.2	29.5	20.5	15.4	0.5	1.0	4.0	2.5	
Merchandise Trade	\$bn	1,183	1,223	1,292	311	262	316	275	250	278	325	302	261	
FX Reserves	\$bn	3,643	3,570	3,490	3,623	3,589	3,570	3,550	3,530	3,510	3,490	3,470	3,450	
Current Account Balance	% of GDP	3.8	3.4	3.2										
General Government Balance	% of GDP	-4.0	-4.0	-3.8										
General Government Debt	% of GDP	107.2	108.2	109.2										
Urban Unemployment Rate	YoY	5.1	5.1	5.1	5.1	5.1	5.1	5.1	5.1	5.1	5.1	5.1	5.1	
CPI	YoY	0.1	1.0	1.2	0.6	0.8	1.1	1.1	1.1	1.0	0.9	1.4	1.5	
Policy interest rate (end period)	%	1.40	1.30	1.20	1.40	1.40	1.40	1.30	1.30	1.20	1.20	1.20	1.20	

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Note: General Govt. Debt includes the debt of central, local government and Ministry of Railway; since 2015, more general government debt methodology (including the LGFV) is adopted; We refer to 7d Reverse Repo Rate as Policy Rate.

Source: Citi Research, CEIC Data Company Limited, Haver Analytics

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India

Still no alarm on core inflation: Headline inflation rose to a 1.5-year high of 4.38%YY in Jun-26, up 45bps from May-26. This was driven by a sharp jump in food and energy inflation, each contributing ~20-25bps, while core inflation remained unchanged at 3.9%YY. We retain our average FY27 forecasts at 4.7%YY for headline inflation and 4.5%YY for Core CPI.

Monetary policy: August RBI MPC might lower their FY27 average CPI forecast (5.1%YY) by around 20bps, reducing the need for any immediate rate hike action. There is a modest increase in core inflation but from extremely low levels and they remain within RBI's comfort zone. RBI is likely to watch out for the persistence of any second-round effects of the energy shock on the core inflation and in our view, the rate hike possibilities will arise only when core inflation sustains above 4.5%. We expect that this condition is unlikely to be met soon and hence do not foresee a rate hike in 2026. However, there are risks to keep an eye on. **First**, Impact of renewed hostilities in the Middle East is putting pressure on energy/petchem prices again. **Second**, disruption to food prices (particularly vegetables/pulses/oilseeds) from potential El Nino shock could become visible with a lag. Despite some improvement in early July, rainfall is still 24% below normal levels. Crop sowing is still down 6%YY as mid-July, with ~54% of total area sown. In an adverse scenario, these supply side shocks can potentially combine with demand side (high retail credit growth), warranting RBI rate action.

BoP and INR: We [previously upgraded](#) our FY27 BoP view to a \$45bn surplus from a peak-war deficit of \$50bn, assuming a \$31.5bn saving from a [lower net oil import bill](#) and an additional \$55bn inflow from various RBI concessional swap measures. Regarding the former, Brent prices are again hovering around \$90/bbl; every \$10/bbl increase puts at least \$15bn of upward pressure on the annual current account deficit. Regarding the latter, before RBI released the data, market expectations for total inflows were tempering amid reports of taxation-related issues that could reduce the appeal of these products in Western countries ([ET, 11-Jun-26](#)). However, RBI has [now reported](#) that \$20.7bn was received under these schemes as of 17 July, with \$17.4bn via FCNR(B) deposits. Yet, this inflow is not reflected in FX reserves or banking system liquidity data, raising doubts about offsetting flows (either BoP or FX forwards) or some delay in swap conversion. While initial capital inflow data under these schemes appears upbeat, we maintain our CAD forecast of 0.9% of GDP and a BoP surplus of \$45bn, given uncertainty in the Middle East. Higher oil prices, tempered expectations for RBI scheme-related inflows (at least in 1H-July), general USD strength, and a wider-than-expected June trade deficit have eroded initial INR strength. Brent must return to the \$70s/bbl range and RBI-related inflows must continue to gain momentum the next two months for our revised short-term USDINR view of 94.0 to play out. This will also depend on RBI's reaction function to these flows in terms of reserve accretion versus currency appreciation.

Figure 30. India – Economic Forecasts

		2025/26F	2026/27F	2027/28F
Real GDP	YoY	7.7	6.9	6.9
Private Consumption	YoY	7.7	6.8	7.2
Fixed Capital Formation	YoY	8.2	7.6	6.9
Exports	YoY	6.3	4.9	5.8
Imports	YoY	5.6	6.4	5.7
Consumer Price Index	YoY	1.9	4.7	4.2
Current Account Balance	% of GDP	-0.6	-0.9	-0.4
Consolidated Government Balance	% of GDP	-7.3	-7.1	-7.1
Centre Fiscal Balance	% of GDP	-4.4	-4.4	-4.5

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Source: Citi Research, CEIC Data Company Limited, Haver Analytics

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We keep our 2026E and 2027E GDP growth forecasts at 3.7% and 3.0%, respectively. We expect semiconductor export growth to accelerate to around 170% in 2026E (vs. 2025: 22%). Price-driven semiconductor export expansion could contribute around +2.6ppt for 2026E GDP, on our estimates. The semiconductor-driven improvement in terms of trade will likely generate large ripple effects on domestic demand. We expect the improvement, led by the rise in export prices, to have significant ripple effects on the domestic economy, by boosting consumption and by expanding large-scale facility investments. At the July 16th MPB meeting, the BoK unanimously raised the policy rate by 25bps to 2.75%. The Governor and the MPB statement effectively opened the possibility of a back-to-back 25bps hike, in our view. Reflecting the surprisingly hawkish tone on the pace of the rate hiking cycle, we expect a back-to-back 25bps hike at the August 27th MPB meeting, assuming strong 2Q26E GDP print and continuing demand-side inflationary pressure. We keep our view on the BoK's rate hiking cycle at 25bps each in August 2026, November 2026, and February 2027, towards a 3.5% terminal rate.

Indonesia

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GDP growth in 2Q probably slowed to the low-5%’s in our view vs. a strong 5.6% in 1Q. Fixed investment may have still been supported by equipment purchases and building construction in relation to government programs, but consumption and private capex were likely impacted by both the energy shock and IDR depreciation. Certain construction material prices have seen double digit inflation, contributing to an acceleration of WPI inflation to 6% in Jun. CPI inflation also increased following the adjustment in non-subsidized fuel prices in May but remains <3.5%. We pencil-in >3.5% inflation temporarily early next year as El-Nino could nudge-up rice prices, yet this probably will have limited impact on monetary policy given a possibly deflationary impulse to non-foods. Policy rates may largely still be guided by FX dynamics. We think the BI rate has peaked and see the OMO curve bull-flattening in 3Q, assuming reduced FX pressure vs. 2Q as the current account deficit shrinks (lower oil prices) and bond inflows resume. S&P's maintaining of ID's BBB/Stable rating should support this. Longer term, the capital account remains beset by weak FDI amid policy uncertainty. This may lead to just a narrow window for lowering SRBI rates and/or higher reliance on FCY government debt financing.

Figure 31. Korea and Indonesia - Economic Forecasts

		South Korea			Indonesia		
		2025	2026F	2027F	2025	2026F	2027F
Real GDP	YoY	1.1	3.7	3.0	5.1	5.2	4.9
Domestic Demand ex. Inventories	YoY	0.2	2.1	2.1	4.8	5.0	4.5
Private Consumption	YoY	1.5	1.9	1.9	5.0	4.6	3.9
Fixed Investment	YoY	-3.4	2.6	2.0	5.1	2.6	4.5
Exports	YoY	4.3	8.0	4.0	7.0	-1.3	7.0
Imports	YoY	3.3	4.3	2.1	4.8	-3.6	4.5
CPI	YoY	2.1	2.5	1.8	2.4	3.3	3.1
Unemployment Rate	YoY	2.8	2.8	2.8	4.9	4.1	4.3
Current Account	\$bn	123.1	353.2	404.0	-1.5	-24.8	-20.0
	% of GDP	6.5	16.5	17.5	-0.1	-1.7	-1.3
General Government Balance	% of GDP	-1.7	-1.7	-1.0	-2.9	-2.8	-2.4

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Source: Citi Research, CEIC Data Company Limited, Haver Analytics

Hong Kong, Singapore & Taiwan

Hong Kong

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HK's macro recovery is gaining traction. Especially of note are the +13%yoy jump in 1H visitor arrivals and mass home prices rising 7.8% YTD (posing upside risk to our 2026E house view of +8%yoy). Inflationary pressures are still modest, but lower-end consumption remains under pressure. The recent strategic policy push to broaden capital-market activities includes expansion of RMB Liquidity Facility and Southbound Bond Connect annual quota, introduction of repo financing using related bonds, as well as launching a central gold clearing system. Further policies expected include WMC 3.0 and building of an offshore RMB yield curve. Carry trade, USD strength and still flush liquidity continue to edge HKD to the weak side of the trading band. Even the 3M HIBOR is climbing towards 3% on currency conversion, and there are anecdotal signs of rising credit needs by property developers.

Singapore

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2Q26 GDP again saw above-trend growth, with upward revisions in 1Q26 GDP and seasonally adjusted GDP likely 2.7% above 1Q26 GDP levels MAS saw in Apr. Factoring in some increase in trend growth to 0.8% QoQ SA, the positive output gap likely widened in 1H26 vs. MAS's Apr expectation of it closing in 2026. AI-related sectors within manufacturing and wholesale trade led sequential growth, but finance/infocomm and accommodation/admin & support services were strong sequentially, offsetting pullbacks elsewhere. We raise our 2026E GDP forecast to 4.8% from 4.5%, which still implies a sharp sequential slowdown in 2H26 on moderation in tech exports, with upside risks, and MTI likely raising official forecasts to 4-5% in Aug. With the 17% jump in Jul electricity tariffs inducing MAS to look through Jun CPI data, the unexpectedly wider positive output gap supports our non-consensus call for another 50bps steepening in Jul (65% probability).

Taiwan

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The spillover of AI tech production and trade into other parts of the economy, including non-tech sectors, is positive. Equity wealth effects for locals (despite FINI outflows) are supporting onshore investment, consumption, imports of services (outbound travel), and the property market (with some delay). We still see upside risk to our 9.9% real GDP view for the year but await 2Q GDP release, as it would be predominately driven by net exports. CBC maintained its policy rate at 2% in the June MPC meeting, citing that inflationary pressures (after energy subsidies) are still relatively modest. We see gradual MP tightening cycle after the Nov local election (3x12.5bps rate hikes in Dec26, Jun27 and Dec27). FINI outflow has recently still been the main driver of TWD weakness.

Figure 32. Hong Kong, Singapore and Taiwan – Economic Forecasts

		Hong Kong			Singapore			Taiwan		
		2025	2026F	2027F	2025	2026F	2027F	2025	2026F	2027F
Real GDP	YoY	3.5	4.6	4.0	5.0	4.8	2.7	8.7	9.9	6.0
Domestic Demand ex Inventory	YoY	2.1	4.4	3.4	4.3	3.5	3.2	4.1	4.1	4.1
Private Consumption	YoY	1.7	3.2	2.4	3.9	3.4	3.9	1.5	3.6	2.2
Fixed Investment	YoY	4.3	9.6	7.3	6.1	6.1	2.2	10.5	5.6	5.2
Exports	YoY	11.2	14.7	6.5	10.8	15.9	8.0	31.8	25.5	13.2
Imports	YoY	11.6	15.8	5.4	11.9	16.1	9.4	26.8	23.4	11.4
CPI	YoY	1.5	1.9	2.2	0.9	1.9	1.8	1.3	2.0	2.1
Unemployment Rate	YoY	3.7	3.6	3.1	2.1	2.1	2.0	3.3	3.3	3.3
Current Account	\$bn	52.3	66.4	64.3	110.2	110.6	121.1	181.1	220.3	244.8
	% of GDP	12.3	14.6	13.2	17.6	16.4	17.2	19.7	21.6	22.1
General Government Balance	% of GDP	-3.0	0.6	0.2	1.9	1.0	0.8	0.1	-0.1	-0.1

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Czech Republic, Hungary & Poland

Czech Republic

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Economic growth is expected to slow to 2.2% this year, reflecting higher costs and uncertainty related to the conflict in the Middle East, as well as weak external demand. Domestic activity remains supported by strong household consumption and investment, while GDP growth should accelerate to 2.5% in 2027. Headline inflation is projected to average 2.1% this year. Its currently very low level of 1.5% YoY largely reflects weakness in volatile components, particularly fuel and food prices. Nevertheless, we expect inflation to reaccelerate in the second half of the year and average 2.5% in 2027. Core inflationary pressures remain elevated at just below 3% YoY, although they should gradually moderate. We expect the CNB to keep rates unchanged at 3.75% following the pre-emptive June hike. The main risk is a further rise in oil and gas prices and their pass-through to broader inflation.

Hungary

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The Hungarian economy is on a path to recovery, and recent EU fund breakthroughs should further strengthen the outlook for 2027. High frequency data published in July reinforces our view that the economy is on an upward trending path. We expect GDP to expand by around 2% in full 2026. A more favorable inflation trend, lower oil prices, food price surprises, and a stronger HUF are paving the way for faster monetary easing. We expect the incumbent government to use this opportunity to remove some of the price-controlling measures adopted by the previous cabinet. The current level of the policy rate is high, both compared to other countries in the region and the current and expected inflation rate. In the coming weeks the government is expected to present details of fiscal measures that will be taken to curb the 2026 deficit, as without any measures it could exceed 8% of GDP.

Poland

The NBP governor unexpectedly signaled the possibility of submitting a motion for rate cut after summary holidays. The monetary policy easing in Poland is highly conditional on the inflation outlook. Although the headline CPI was at 2.5% target in June, the increase in fuel prices is likely to lead it closer to 3% already in July and possibly above 3.5% (upper band of permissible fluctuation around the target) by the year-end. The MPC remains split over the need and timing of the potential monetary policy easing. Activity in the Polish economy remains robust, driven by consumption and with some signs of revival in investments. EU flows are likely to remain large further in 2026, adding to the positive outlook. The situation in the labour market is normalizing as momentum in wages growth has slowed down. Fiscal side remains the main question mark as Poland is running a deficit close to 7% of GDP.

Figure 33. Czech Republic, Hungary, Poland — Economic Forecasts

		Czech Republic			Hungary			Poland		
		2025	2026F	2027F	2025	2026F	2027F	2025	2026F	2027F
Real GDP	YoY	2.7	2.2	2.5	0.5	2.2	3.4	3.6	3.5	2.9
Domestic Demand ex. Inventories	YoY	2.9	2.5	1.9	1.6	3.4	3.2	4.0	4.4	3.2
Private Consumption	YoY	3.0	2.7	2.8	3.1	4.4	2.7	3.7	2.9	3.5
Fixed Investment	YoY	2.4	3.8	3.2	-2.8	1.0	6.0	4.3	7.6	2.2
Exports	YoY	3.9	3.5	4.8	-1.1	-0.3	4.4	4.5	5.0	4.7
Imports	YoY	5.0	4.5	4.9	1.2	4.4	4.2	5.6	5.8	6.9
CPI	YoY	2.5	2.1	2.5	4.4	2.0	3.0	3.6	3.0	3.3
Unemployment Rate	%	3.0	2.8	2.6	4.4	4.3	4.1	5.7	5.8	5.7
Current Account	\$bn	2.8	-1.0	0.8	4.3	0.1	5.1	-8.9	-17.1	-22.3
Current Account	% of GDP	0.7	-0.2	0.2	1.6	0.0	1.6	-0.9	-1.5	-1.9
General Government Balance	% of GDP	-2.0	-2.7	-2.8	-4.7	-7.0	-5.6	-7.3	-6.9	-6.7

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Source: Citi Research, Haver Analytics

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Following a visible slowdown in Q1, incoming indicators suggest that activity failed to stage a meaningful rebound in Q2. We therefore remain cautious about the growth outlook, with both domestic and external demand likely to remain subdued. In our view, the moderation in private consumption, a key driver of growth since the pandemic, reflects largely structural factors. At the same time, weak credit growth and still-elevated interest rates are unlikely to provide meaningful support to investment. Nor do we expect external demand to offer a significant offset amid mounting competitiveness concerns. Against this backdrop, we forecast GDP growth to slow to 2.3% this year from 3.6% in 2025. With growth moderating while inflation remains elevated, the focus continues to be on monetary policy. The CBT has so far remained reluctant to align its policy rate (37%) with the average funding rate (40%). In our view, the pace of inflows and dollarization dynamics will be among the key factors in prompting the CBT to align its funding rate with the policy rate in the near term. Looking ahead, we see only limited scope for easing in 2H and expect the policy rate to end the year at 35%.

Figure 34. Turkey — Economic Forecasts

		Turkey		
		2025F	2026F	2027F
Real GDP	YoY	3.6	2.3	3.2
Domestic Demand ex. Inventories	YoY	-	-	-
Private Consumption	YoY	4.0	4.3	2.9
Fixed Investment	YoY	7.0	1.1	3.5
Exports	YoY	-0.3	-8.8	3.3
Imports	YoY	4.9	-3.2	1.6
CPI	YoY	34.9	31.2	25.1
Unemployment Rate	%	8.4	8.9	8.9
Current Account	% of GDP	-1.9	-3.1	-3.4
General Government Balance	% of GDP	-2.9	-3.7	-4.4

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Source: Citi Research, Haver Analytics

Egypt, Saudi Arabia & South Africa

Egypt

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Egypt is on the periphery of the current conflict in the Middle East, which means that the economic fall-out is contained. While we now expect both the current account and fiscal deficits to be higher this year than was the case in January, it does seem that inflation is moving back to a slow downward trend in 2H 2026. This means that the Central Bank of Egypt (CBE) can potentially restart cutting its Overnight Deposit Rate (ODR) in December, but more likely in 2027. The CBE also responded to significant outflows of FPI by allowing the Egyptian pound (EGP) to move to levels of US\$54:US\$1 during March, indicating a new commitment to a flexible exchange rate than historically. Meanwhile, EGP has since appreciated back to levels around EGP50:US\$1 on the back of new FPI inflows since June. What we are now waiting to see is whether the CBE seeks to re-anchor the exchange rate in a new informal band, which could possibly range from EGP49-53:US\$1.

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KSA illustrates the two-track economy that has emerged from the conflict. Crude production, at 10.1mb/d in February, fell to 7.6mb/d in March and has since settled near 6.9mb/d, with June at 6.85mb/d, around 32% below the pre-conflict level. The non-oil economy has proven more resilient. The PMI dipped from 56.1 in February to 48.8 in March—its only sub-50 reading of the conflict—and has firmed in every month since, reaching 53.3 in June, which is an outcome consistent with the framework we set out previously. Against this backdrop, we expect oil GDP to swing to a contraction of 4.7% this year after expanding by 5.7% in 2025. Concurrently, non-oil growth (private) is projected to slow from 5.1% in 2025 to 2.6% this year, leaving overall growth at 0.9%, down from 4.6% in 2025. The Kingdom thus remains among the few GCC economies to avoid contraction this year, though the outlook rests on the strait: *a longer closure or a spread of the conflict to the Red Sea represents a significant downside risk to our forecasts.*

South Africa

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We retain our GDP growth forecast of 1.3% for this year, a slight improvement on 2025. We still see CPI peaking well-above target in Q4 26, but at slightly lower levels now that the threat of El Niño is less severe and oil prices are somewhat lower. We still see the South African Reserve Bank hiking further, by 25bp rate hikes in July given the threat of second-round effects given persistence in oil prices to-date. Fiscal policy is holding up well with rating agencies moving to positive outlook and upgrades. All eyes will be on the November local elections later this year.

Figure 35. Egypt, Nigeria, Saudi Arabia & South Africa — Economic Forecasts

		Egypt			Nigeria			Saudi Arabia			South Africa		
		2025F	2026F	2027F	2025F	2026F	2027F	2025F	2026F	2027F	2025F	2026F	2027F
Real GDP	YoY	5.1	5.0	6.1	4.3	4.6	5.2	4.6	0.9	7.0	1.1	1.3	1.6
Domestic Demand ex Inventory	YoY	3.3	4.6	5.4	-	-	-	-	-	-	2.0	1.7	1.4
Private Consumption	YoY	0.7	4.1	5.2	-	-	-	-	-	-	3.6	1.9	1.4
Fixed Investment	YoY	21.7	8.5	7.8	-	-	-	-	-	-	-2.2	0.8	2.2
Exports	YoY	10.6	5.3	6.4	-	-	-	-	-	-	-2.5	0.1	2.0
Imports	YoY	1.7	3.3	2.9	-	-	-	-	-	-	1.1	1.2	2.3
CPI	YoY	14.1	14.2	7.7	23.0	15.2	11.9	2.0	2.0	2.3	3.2	3.9	3.6
Unemployment Rate	%	6.9	7.2	7.0	-	-	-	-	-	-	32.4	32.0	32.0
Current Account	\$bn	-13.9	-20.2	-20.4	14.0	16.6	10.2	-32.7	-14.2	-15.8	-0.7	-1.2	-2.3
Current Account	% of GDP	-3.4	-4.3	-3.8	4.5	4.0	2.2	-2.6	-1.0	-1.1	-0.2	-0.3	-0.5
General Government Balance	% of GDP	-6.1	-5.5	-4.7	-2.9	-2.9	-2.8	-5.8	-6.6	-5.0	-4.5	-4.5	-4.4

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Source: Citi Research, Haver Analytics

Brazil & Mexico

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With medium/long term [inflation expectations](#) moving further away from the 3.0% target, we maintain our out-of-consensus call that Copom will interrupt the ongoing “calibration cycle” in the next MoP meeting (on August 5th), keeping the interest rate at 14.25%. Looking ahead, conditioned on the assumption that the “to be elected” government will strengthen fiscal fundamentals, we believe Copom is more likely to resume the interest rate cutting cycle in 2H27, driving the Selic rate to 12.50% at 2027YE. On the inflation front, [the downside surprise in recent inflation prints](#) was mainly concentrated on food/volatile goods, with the stickier components, such as services, remaining roughly flat at much-higher-than-the-4.5% upper limit of the target band levels. As the [ongoing growth slowdown](#) is not expected to significantly widen the output gap, [the unemployment rate](#) should remain around the current all-time low for a while, with real wages growth running above labor productivity. The recent signs of [fiscal/credit/financial](#) stimulus are additional elements to suggest that the limited slackness in the economy will last longer, suggesting a gradual disinflationary process as the most likely outcome. Finally, [recent polls started showing](#) some rebound in President Lula’s popularity, consequently amplifying his voting intentions lead over senator Bolsonaro.

Mexico

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We [recently revised our end-of-year inflation forecasts to 4.1%](#) for headline inflation and 4.0% for core inflation, reflecting better-than-expected core goods inflation supported by a resilient currency, while services inflation remains persistent despite economic slack. Although headline inflation is currently close to Banxico’s target, we remain cautious about the year-end outlook given the volatile and mean-reverting nature of the non-core food component, with a potential strong [El Niño](#) event over the next 12 months posing upside risks to headline inflation. Banxico remains firmly on hold, with [broad consensus](#) among board members that the current 6.50% policy rate is appropriate, and our base case remains unchanged rates through this year and next despite some scope for further adjustments if activity remains weak and core inflation continues to improve. We forecast GDP growth of 1.1% in 2026, supported by a rebound in 2Q26 after a weak first quarter, although momentum may soften and uncertainty surrounding the [USMCA review continues to weigh on business sentiment and investment](#). While we still expect Mexico, Canada, and the United States to eventually extend the agreement, we are less confident about the timing, and prolonged negotiations are likely to sustain uncertainty as the United States pushes for stricter trade and production requirements.

Figure 36. Brazil and Mexico — Economic Forecasts

		Brazil			Mexico		
		2025	2026F	2027F	2025	2026F	2027F
Real GDP	YoY	2.3	1.8	1.8	0.5	1.1	2.0
Domestic Demand ex. Inventories	YoY	1.7	1.5	1.5	-0.6	1.1	2.1
Private Consumption	YoY	1.3	1.7	1.7	1.0	1.7	2.0
Fixed Investment	YoY	2.9	0.7	1.3	-6.3	-1.7	2.6
Exports	YoY	6.2	4.7	3.8	6.9	2.7	4.0
Imports	YoY	4.5	1.9	2.0	3.7	10.4	4.7
CPI (Avg)	YoY	5.0	4.6	4.1	3.8	4.0	3.7
Unemployment Rate	YoY	5.9	5.5	5.5	2.6	2.7	2.7
Current Account	\$bn	-66.7	-55.6	-54.1	-8.8	-21.0	-21.2
	% of GDP	-2.9	-2.1	-2.0	-0.5	-1.0	-1.0
General Government Balance	% of GDP	-8.3	-9.3	-8.4	-4.3	-4.4	-3.7

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Source: Citi Research

Argentina, Chile & Colombia

Argentina

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Argentina is experiencing mixed feelings. On the upside, the fiscal balance is consolidating, the Central Bank has acquired dollars exceeding its minimum target, inflation is falling, confidence in the government is improving, exports and the trade surplus are growing, sovereign risk is declining, and the country's credit rating is improving. On the downside, however, there are vectors—some exogenous and of unknown dimensions—that demand prudence in any diagnosis. This is the case with an extension of the Middle East conflict, which continues to generate bewilderment and uncertainty regarding its resolution and could lead to higher interest rates in USA and other central economies. This would increase the difficulty of accessing global capital markets, whether to meet the significant debt maturities expected in the coming months or to finance energy and mining investment projects, in addition to negatively impacting commodity prices. Approaching the 2027 presidential elections is also an event that calls for caution based on past experiences, although on this occasion, the government suggests that a political offer agreed upon with certain governors and allies could improve its chances of re-election next year. However, political analysts affirm that to be re-elected, a recovery in consumption and activity in more labor-intensive sectors, is necessary sooner than later.

Chile

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Chile's macro regime is increasingly defined by the interaction between weak domestic growth and deteriorating fiscal credibility, with inflation persistence limiting policy flexibility. Activity appears to be stabilizing after a prolonged slowdown, but labor-market weakness and subdued confidence continue to constrain the recovery. At the same time, fiscal dynamics have become the binding constraint, as official projections now acknowledge missed structural targets and debt approaching the government's prudential ceiling. Monetary policy remains firmly on hold, with inflation above target and recent energy-price volatility complicating the convergence process. While the approval of Kast's investment and tax reform could support investment and potential growth over time, markets remain focused on whether stronger activity can offset weaker fiscal arithmetic. Going forward, the credibility of the fiscal adjustment path and the government's

ability to translate reform approval into actual investment execution will be the main determinants of macro and market performance.

Colombia

The outlook continues to shift toward tighter policy under persistent inflation and widening fiscal constraints, even as political uncertainty surrounding the election fades. Domestic demand remains resilient, but investment, manufacturing, and energy-sector bottlenecks continue to limit the strength and durability of the expansion. Inflation persistence, reinforced by services, wages, and rising climate-related risks, has pushed Banrep further into a tightening cycle and delayed any discussion of policy easing. The incoming administration has improved market sentiment through a more orthodox policy message and technocratic appointments, but fiscal consolidation remains the dominant challenge. The August budget submission is emerging as the first major test of policy credibility, particularly given the gap between official fiscal projections and independent assessments. Into 2H26, the balance of risks depends increasingly on whether fiscal adjustment, energy-sector stabilization, and inflation control can advance simultaneously, as success on those fronts will determine whether recent gains in confidence can be sustained.

Figure 37. Chile and Colombia — Economic Forecasts

		Argentina			Chile			Colombia		
		2025F	2026F	2027F	2025F	2026F	2027F	2025F	2026F	2027F
Real GDP	YoY	4.0	2.9	3.1	2.5	1.7	2.3	2.6	2.5	2.1
Domestic Demand ex Inventory	YoY	-	-	-	3.7	2.7	2.7	3.8	2.5	2.6
Private Consumption	YoY	-	-	-	2.7	2.7	2.2	3.5	2.2	2.0
Fixed Investment	YoY	-	-	-	7.0	2.6	3.3	1.4	2.5	4.3
Exports	YoY	-	-	-	4.6	1.6	3.3	1.9	4.0	2.0
Imports	YoY	-	-	-	10.5	4.1	3.5	8.6	2.7	4.1
CPI (Avg)	YoY	41.9	30.5	27.0	4.2	3.6	3.2	5.1	6.0	5.0
Unemployment Rate	YoY	0.0	0.0	0.0	8.6	8.6	8.5	8.5	8.8	9.7
Current Account	\$bn	-9.6	-4.0	-5.3	-8.9	-7.8	-9.3	-11.0	-11.9	-13.8
	% of GDP	-1.4	-0.5	-0.7	-2.5	-1.9	-2.2	-2.4	-2.1	-2.4
General Government Balance	% of GDP	0.2	0.1	0.1	-2.0	-1.7	-1.5	-6.2	-6.4	-4.5

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Source: Citi Research, National Sources

Multi-Asset Views

Global Equity Strategy

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- Global equities have climbed c10% YTD, though leadership has been concentrated into Tech. With geopolitical risks easing (until recently) and signs of rotation away from crowded AI trades, many of our conversations are returning to the likelihood of “broadening” performance in 2H26. For our latest global views, see: [Global Equity Quarterly - Back to the Broadening Debate](#).
- **Key Theme—The Broadening Debate:** The durability of the broadening trade over the medium-term (6–12m) rests on signs of broad cyclical improvement and a sustained pause in Tech/AI leadership. On cyclical recovery, we are encouraged by upside surprises in economic data and more broad-based EPS upgrades. And while the AI trade may remain under pressure (and prone to rotation), Tech looks increasingly attractive on a fundamental basis and structural AI tailwinds remain in place. This means one of two conditions is met for a sustained broadening trade.
- **Fundamentals:** Despite this year’s stagflationary shock, 26E global EPS growth expectations have been revised up by c10pp since February to +27%. Global EPS growth should decelerate in 27E, though consensus still pencils in a robust +16%. The MSCI ACWI has seen valuations compress by c10% YTD, with the index now trading on a 12m fwd PE of c17x (c81st percentile vs. 25Y history).
- **Sentiment & Positioning:** Equity market [positioning](#) has shifted meaningfully in past weeks. Positioning is relatively stretched on the Russell 2000 and the Nasdaq, while investors remain net short on the Hang Seng and Australia. [Citi’s Levkovich Index](#), a gauge of US market sentiment is in “Euphoria”.
- **Global Recommendations:** While AI volatility may remain elevated over the coming quarter, we maintain our Overweight stance on global IT and the US with a medium-term view. We pair these Growth exposures with O/Ws in Cyclical regions/sectors (Japan, Financials, Materials). We remain broadly constructive on equities, targeting c6% upside for the MSCI ACWI to end-26.

Figure 38. Citi Global Region/Sector Recommendations

Overweight	Neutral	Underweight
Regions		
Japan	Europe ex-UK	UK
US	EM	Australia
Sectors		
IT	Real Estate	Cons Staples
Financials	Industrials	Comm Svc
Materials	Energy	
	Utilities	
	Cons Discr	
	Health Care	

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Source: Citi Research

Figure 39. Citi Regional Sector Recommendations

Sector	US	Eur	JP
IT	N	OW	OW
Materials	OW	OW	N
Financials	N	OW	N
Industrials	OW	N	OW
Cons Discr	OW	UW	N
Health Care	N	OW	UW
Energy	N	N	OW
Cons Staples	UW	N	UW
Real Estate	N	N	OW
Utilities	N	UW	N
Comm Serv	UW	UW	UW

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Developed Markets Rates Strategy

US Rates

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Front-end yields moved higher last week on the back of a hawkish FOMC dot plot where nine members saw at least one rate hike by year-end 2026. Further, some FOMC members expected some easing in 2027, presumably as inflation falls over time. We think the front-end of the curve could be at risk of a continued selloff until the market sees evidence of core inflation normalizing, which may take some time (see [US Rates Strategy - Widening the aperture](#)). In our view, the long end of the Treasury curve should generally remain supported as the market is pricing in a possible policy mistake, and we still see 10y yields moving lower into year-end. Our thesis is: 1) core inflation will trend lower by Q4 without experiencing much spill-over from the Iran conflict, which may now be nearing resolution; 2) seasonal weakness in jobs data should move the unemployment rate higher throughout the summer; 3) USTs typically have a bullish tailwind in the summer months; 4) the market is wrong to price in ~50bp of rate hikes over the next year; and 5) while jobs data is strong, there is little evidence the low level of wage gains will spill over into services inflation. We continue to favor carry trades in the near term and in the medium term we think the belly of the 2s5s10s fly can outperform.

Euro rates and EGB spreads

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Bunds are beginning H2 in a bearish mood with the front-end under pressure from resurgent energy prices amid renewed tensions in the Middle East. While we already thought a second ECB hike was likely this quarter, we still don't think this is the beginning of a fuller tightening cycle. There is a low bar to hike once more, in our view, to complete a 'measured adjustment' and with 2.5% depo still seen as neutral. However, we expect greater resistance from within the GC to hike beyond that (unless there is firm evidence that wages are responding) given the risk of demand destruction and with energy effects on inflation set to dissipate with base effects. With that in mind, we believe that front-end pricing is towards the high-

end of the likely range. Similarly, for Bunds, we still think this is a range-trading environment and we prefer to buy the dips above 3.10% with 3% still our target level for 2H26. In essence we are shifting from a mild bearish bias last month to a mild bullish bias this month, with the forecasts unchanged. This is despite the recent uplift to Germany's multi-year borrowing plans. The market noted the revision via modest bear-steepening (the first of any note since April), but we do not expect this to create a lasting trend towards cheaper valuations. The increase in net supply for Bunds is likely well absorbed, in our view, given Germany's still strong debt metrics, the shortage of AAA assets and given the extra spending could prove growth enhancing. Turning to EMU spreads, the latest increase in ECB hike premium has contributed to renewed widening. If we're right that the ECB stops at 2.5% depo, then we think there is scope for some corrective tightening in the coming months. However, we still think the effective floor for spreads is somewhat higher than pre-conflict with an extra headwind from EGB supply in H2 which is set to run a little higher than usual (given the deferral of issuance in the volatility of 2Q26). Further ahead, we expect the market to really begin to focus on the French presidential election from about October with OATs likely to lead the pricing of additional risk premium into the political event risk.

UK

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10yr gilt yields have tracked higher to around 5% at the time of writing, which remains our target level for year-end. The neutral view reflects the competing forces of bearish risk from any change in fiscal approach under the new Prime Minister vs bullish risk from the likelihood that the MPC holds rates steady for 2H26 and disappoints market pricing for hikes. On the politics and fiscal, greater clarity on the extent of the ambition for a policy shift will likely emerge by the 27-30 September Labour Party Conference but the full picture may not be clear until the autumn Budget (for which the OBR requires a minimum of 10 weeks' notice). Additional borrowing seems likely (with the investment rule providing a mechanism to borrow more without breaking the self-imposed fiscal rules). However, there could be relief for gilts if the DMO opts to meet any extra funding need via Treasury Bills as it may seek to expand that market following the consultation earlier this year. There is little doubt, however, that gilt borrowing is a key bearish risk for H2 and could cause an overshoot in yields. Otherwise, the outlook would lean bullish. For sure, rate cuts are off the agenda for now, but we don't expect the BoE to hike. While the message is somewhat confused by the focus on the divides among individual member views, the best collective judgement appears to be that the market has delivered sufficient tightening in response to the oil price shock by taking out the cuts in the pre-conflict baseline. Overall, our forecast speaks to a neutral view on UK duration, albeit with the risk of twist-steepening, and with gilts potentially underperforming Bunds in the second half.

Japan

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The 10y+ JGB auctions produced strong results, triggering a significant rally driven by short covering. Yields returning to end-June levels at one point suggests that positions tied to the ¥370 trillion strategic investment program had largely been unwound. Despite the rally, the supply/demand backdrop remains challenging under continued QT, and with the Japanese economy performing robustly, there is no compelling case for aggressive bond buying. ASWs have richened following both swap paying during the rate rise and bond buying post-auctions. Sizeable ASW long positions in the 10y-20y sector, especially held by regional financial institutions, may look to take profit at these levels as equities also retreated from their peaks.

The government seems to be trying to find a way to let the GPIF buy more JGBs to support government financing. If it is to wait for the GPIF's own internal assessment, the appropriate process would be to make decision in January-March based on the portfolio as of December. However, the government will want increased investment in JGBs to coincide with the announcement of next fiscal year's issuance plan in December. Given this, we think that major change may start early, led by the government. The framework can include direct underwriting of nonmarketable JGBs.

Commodities

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- **Our near-term conviction in the oil and metals price outlook is relatively low**, reflecting the fact that the outlook is inherently tied to the actions of both President Trump and the Iranian regime. **Having said this, our baseline view is that energy rallies be sold over the summer and metals weakness to be bought.**
- **Indeed, a deal, either US/Iran or ME regional countries / Iran, which sees flows return through the SoH, would return the oil market to its pre-war surplus rapidly, if and when it occurs.** This would also see lower inflation pressures, and likely lower real interest rates, as well as stronger cyclical global growth expectations and metals prices (hence buy the dip in gold/copper/aluminium for a Sep-Dec '26 rally).
- **We interpret recent events as President Trump using military pressure to try to re-negotiate Point 5 of the US-Iran MoU, which was the point that focused on commercial shipping through the Strait of Hormuz (SoH).** The President wants to use the Oman side of the Strait as it sees fit, and Iran doesn't want that (as they likely want to build tracking/monitoring infrastructure for future fees).
- **We continue to expect the same endgame as before: a diplomatic resolution and normalisation of shipping flows, possibly as soon as this month.** In our view, the key question is the timing of "MoU 2," with a return to diplomacy over the coming weeks our base case.
- **The expected (eventual) return to diplomacy base case reflects the fact that President Trump has historically shown a preference for strong equity markets, stable bond markets and lower energy-price volatility, meaning US equity and bond market downside provides a limit for high oil prices.** For Iran, a return to negotiations would help avoid further economic disruption, infrastructure damage and domestic pressure, while the SNSC had already approved the original MoU terms.
- **The recent military escalation clearly raises the probability that Iran could suspend engagement with the MoU for weeks or months, potentially until after the US mid-term elections.** While not our central scenario, this would likely support higher-for-longer oil prices and could trigger additional strategic stock releases from IEA/OECD countries. For reference, our base case remains that the ongoing escalation falls short of mutual energy and public infrastructure destruction, though this is a bullish risk for oil, it is a tail risk in our view.
- **Ample global oil stocks take outright shortages off the table during 2026 - A** sliver of good news is that we highlight our earlier finding during the 2Q'26 pre-MoU that it might take as long as 9-12 months to see global inventories fall to

1970s levels, with inventories around ~3bn barrels higher than they were in the 1970s (adjusting for demand). Please see slide 30 [here](#) for details.

- **World oil expenditures are running ~1.5% higher as a share of GDP ytd** - We estimate that global oil expenditures are roughly ~3.5% of GDP at present, up from ~2% at the beginning of the year, after seeing highs of ~4% of GDP in March/April. Of course, this is also oil producer revenue, though lower income oil consumers likely have a higher marginal propensity to consume.

Figure 40. Citi Research commodity price forecasts*

			Price Targets								Annual Forecasts			LT Price
		Spot*	0-3M	%chg vs spot	6-12M	%chg vs spot	Q1 2026	Q2 2026E	Q3 2026E	Q4 2026E	2025	2026E	2027E	\$2025
Energy														
ICE Brent	USD/bbl	88	75	-15%	70	-20%	78	99	75	70	68	81	65	70
NYMEX WTI	USD/bbl	82	71	-14%	66	-20%	73	94	71	66	65	76	61	67
Henry Hub Natural Gas	USD/MMBtu	2.9	2.8	-2%	2.5	-12%	3.5	2.8	3.1	3.3	3.6	3.2	2.8	3.9
JKM LNG	USD/MMBtu	21.0	13.0	-38%	10.0	-52%	13.2	17.6	14.2	12.8	12.4	14.5	9.5	6.0
TTF Natural Gas	USD/MMBtu	19.3	12.0	-38%	9.5	-51%	13.7	15.5	12.8	12.0	12.0	13.5	9.2	5.0
EUA Carbon	EUR/t	82	85.0	3%	90.0	9%	N/A	N/A	N/A	N/A	80	115	115	N/A
Precious Metals														
Gold	USD/t.oz	4010	4500	12%	5000	25%	4,865	4,510	4,500	4,750	3,443	4,655	5,000	3,600
Silver	USD/t.oz	56.9	75.0	32%	90.0	58%	83.7	73.0	75.0	80.0	40.1	78.0	85.0	35.0
Platinum	USD/t.oz	1595	1950	22%	2100	32%	2,202	1,916	1,750	1,900	1,286	1,940	2,000	1,800
Palladium	USD/t.oz	1271	1500	18%	1600	26%	1,704	1,409	1,350	1,450	1,154	1,480	1,550	1,400
Industrial and Other Metals														
LME Copper	USD/MT	13530	14500	7%	15000	11%	12,818	13,500	14,000	14,500	9,960	13,700	14,250	11,000
LME Aluminum	USD/MT	3152	3300	5%	3500	11%	3,195	3,565	3,300	3,300	2,628	3,350	3,300	3,000
LME Lead	USD/MT	1858	2000	8%	2000	8%	1,930	1,960	2,000	2,000	1,959	1,970	2,000	2,000
LME Zinc	USD/MT	3552	3600	1%	3300	-7%	3,235	3,500	3,600	3,500	2,878	3,450	3,300	2,700
LME Nickel	USD/MT	16840	17000	1%	17000	1%	17,325	18,200	17,000	17,000	15,179	17,400	17,000	17,000
CME Lithium Hydroxide	USD/MT	19410	28000	44%	18000	-7%	18,200	21,000	25,000	25,000	9,400	22,300	19,750	20,000
Uranium	USD/lb	86	100	17%	110	28%	87	86	100	100	73	93	131	63
Bulk Commodities														
Iron Ore (TSI)	USD/MT	99	100	1%	90	-9%	104	106	100	100	102	102	93	85
Thermal Coal (Newc 6K)	USD/MT	130	125	-4%	115	-12%	120	138	125	130	107	128	120	100
Coking Coal (Aus PHCC)	USD/MT	232	220	-5%	220	-5%	235	238	220	230	188	231	225	200
Agriculture														
CBOT Corn	Usd/bu	449	500	11%	550	22%	460	475	500	500	450	464	544	N/A
CBOT Soybeans	Usd/bu	1227	1250	2%	1300	6%	1125	1200	1250	1250	1,052	1,213	1,275	N/A
CBOT Wheat	Usd/bu	675	700	4%	750	11%	550	650	700	700	531	650	738	N/A
ICE Sugar	Usd/lb	14.8	17.0	15%	19.0	29%	14.7	14.3	17.0	19.0	17.1	16.3	18.0	N/A
ICE Coffee	Usd/lb	333	250	-25%	225	-32%	317	283	300	275	371	294	225	N/A
ICE Cocoa	USD/MT	5635	5000	-11%	6000	6%	4500	4000	4500	5000	8,182	4,500	6,000	N/A

*Spot as of 07/20/2026

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*As of Jul 20, 2026, subject to revision. Please visit [this site](#) for our latest commodities forecasts

Source: Citi Research

Global Foreign Exchange Outlook

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We leave our near-term EURUSD forecast unchanged at 1.13 to reflect [USD-positive asymmetry](#) around the Fed's reaction function and US-Iran conflict. G10 relative value expressions look increasingly attractive, though, with G9 USD correlations heading lower. In this context, we forecast upside in EURGBP and NOKSEK, and downside in AUDNZD over coming months.

US midterms are coming into view, as well, where expectations are for a divided government. The FX impact here is less clear. On the one hand, a divided government could drive slightly lower term premium, which could support foreign inflows into US assets. On the other hand, the US fiscal impulse could also fall, and we could see more US-centric volatility around budget discussions and similar areas.

Elsewhere, [we took profit on our short EURBRL trade](#) to hedge against seasonal volatility into August. But we remain [short AUDBRL](#) as a carry play that helps neutralize macro risk (spot ref: 3.5378, 2:06 PM ET, 7/22).

Figure 41. Global Foreign Exchange Forecasts

		Market data*			Forecasts			Returns***		WERM
		spot	3m Fwd	12m Fwd	0-3 mos	6-12 mos	long-term	3 mos rtn	12 mos rtn	2026 Q2
G10										
Euro	EURUSD	1.141	1.145	1.158	1.13	1.14	1.13	-1.3%	-1.6%	1.09
Japanese yen	USDJPY	163	162	158	163	153	138	1.0%	-3.3%	102
British Pound	GBPUSD	1.34	1.34	1.34	1.32	1.31	1.30	-1.1%	-1.9%	1.34
Swiss Franc	USDCHF	0.81	0.81	0.78	0.82	0.80	0.84	2.3%	2.8%	0.90
Australian Dollar	AUDUSD	0.70	0.70	0.70	0.69	0.70	0.70	-1.2%	0.0%	0.73
New Zealand Dollar	NZDUSD	0.58	0.58	0.59	0.58	0.59	0.61	-0.1%	0.2%	0.59
Canadian Dollar	USDCAD	1.41	1.40	1.39	1.43	1.42	1.39	2.2%	2.5%	1.20
Dollar Index**	DXY	101.12	100.71	99.48	102.12	100.50	99.57	1.4%	1.0%	95.38
G10 Crosses										
Japanese yen	EURJPY	186	185	183	185	174	156	-0.4%	-4.8%	112
Swiss Franc	EURCHF	0.93	0.92	0.90	0.93	0.92	0.95	0.9%	1.2%	0.98
British Pound	EURGBP	0.85	0.86	0.87	0.86	0.87	0.87	-0.2%	0.4%	0.81
Swedish Krona	EURSEK	11.07	11.05	11.02	11.10	10.88	10.50	0.5%	-1.3%	8.77
Norwegian Krone	EURNOK	10.96	11.01	11.17	10.95	11.10	11.05	-0.6%	-0.6%	7.78
Norwegian Krone	NOKSEK	1.01	1.00	0.99	1.01	0.98	0.95	1.0%	-0.6%	1.13
Australian Dollar	AUDNZD	1.20	1.20	1.19	1.18	1.18	1.15	-1.1%	-0.2%	1.24
Australian Dollar	AUDJPY	114	113	110	113	106	97	-0.3%	-3.3%	75
Asia										
Chinese Renminbi	USDCNY	6.77	6.73	6.59	6.75	6.70	6.50	0.3%	1.6%	6.47
Hong Kong Dollar	USDHKD	7.84	7.82	7.77	7.83	7.80	7.78	0.1%	0.4%	7.04
Indonesian Rupiah	USDIDR	17880	18067	18447	17700	17800	16000	-2.0%	-3.5%	14272
Indian Rupee	USDINR	96.6	97.5	99.8	94.0	96.0	97.0	-3.6%	-3.8%	83.8
Korean Won	USDKRW	1477	1475	1465	1450	1430	1400	-1.7%	-2.4%	1238
Malaysian Ringgit	USDMYR	4.09	4.08	4.04	4.05	3.95	4.30	-0.7%	-2.3%	3.68
Philippine Peso	USDPHP	61.7	62.2	62.9	62.5	64.0	55.0	0.5%	1.7%	66.8
Singapore Dollar	USDSGD	1.29	1.28	1.26	1.28	1.27	1.30	-0.2%	1.0%	1.34
Thai Baht	USDTHB	33.8	33.7	33.2	34.0	33.8	34.0	0.8%	1.8%	34.9
Taiwan Dollar	USDTWD	32.4	32.5	32.5	32.0	31.5	30.8	-1.4%	-3.2%	n/a
Vietnam Dong	USDVND	26314	26605	27325	26600	27000	27300	0.0%	-1.2%	n/a
EMEA										
Czech Koruna	EURCZK	24.2	24.3	24.5	24.2	24.3	24.1	-0.2%	-0.7%	29.7
Hungarian Forint	EURHUF	364	367	373	360	355	350	-1.8%	-4.9%	417
Polish Zloty	EURPLN	4.33	4.35	4.39	4.33	4.30	4.30	-0.4%	-2.0%	4.72
Israeli Shekel	USDILS	3.06	3.05	3.02	2.90	2.90	2.80	-4.9%	-3.8%	4.42
Turkish Lira	USDTRY	47.21	51.08	64.60	48.20	55.25	65.00	-5.6%	-14.5%	46.94
South African Rand	USDZAR	16.40	16.54	16.93	16.45	16.15	15.50	-0.5%	-4.6%	11.07
LATAM										
Brazilian Real	USDBRL	5.06	5.16	5.47	5.10	5.35	5.30	-1.2%	-2.2%	5.35
Chilean Peso	USDCLP	937	936	935	930	880	925	-0.7%	-5.9%	777
Mexican Peso	USDMXN	17.4	17.5	17.9	17.50	17.60	19.00	-0.2%	-1.8%	18.60
Colombian Peso	USDCOP	3208	3284	3510	3300	3550	3850	0.5%	1.1%	2860

* market data including spot as of 12:39 PM NY time on 22-Jul-2026

** The DXY forecasts are implied from the forecasts of the constituent crosses. *** Returns are relative to forwards

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Source: Citi Research

Figure 42. Citi Global Economics Team (For Informational Purposes Only)

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Appendix A-1

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